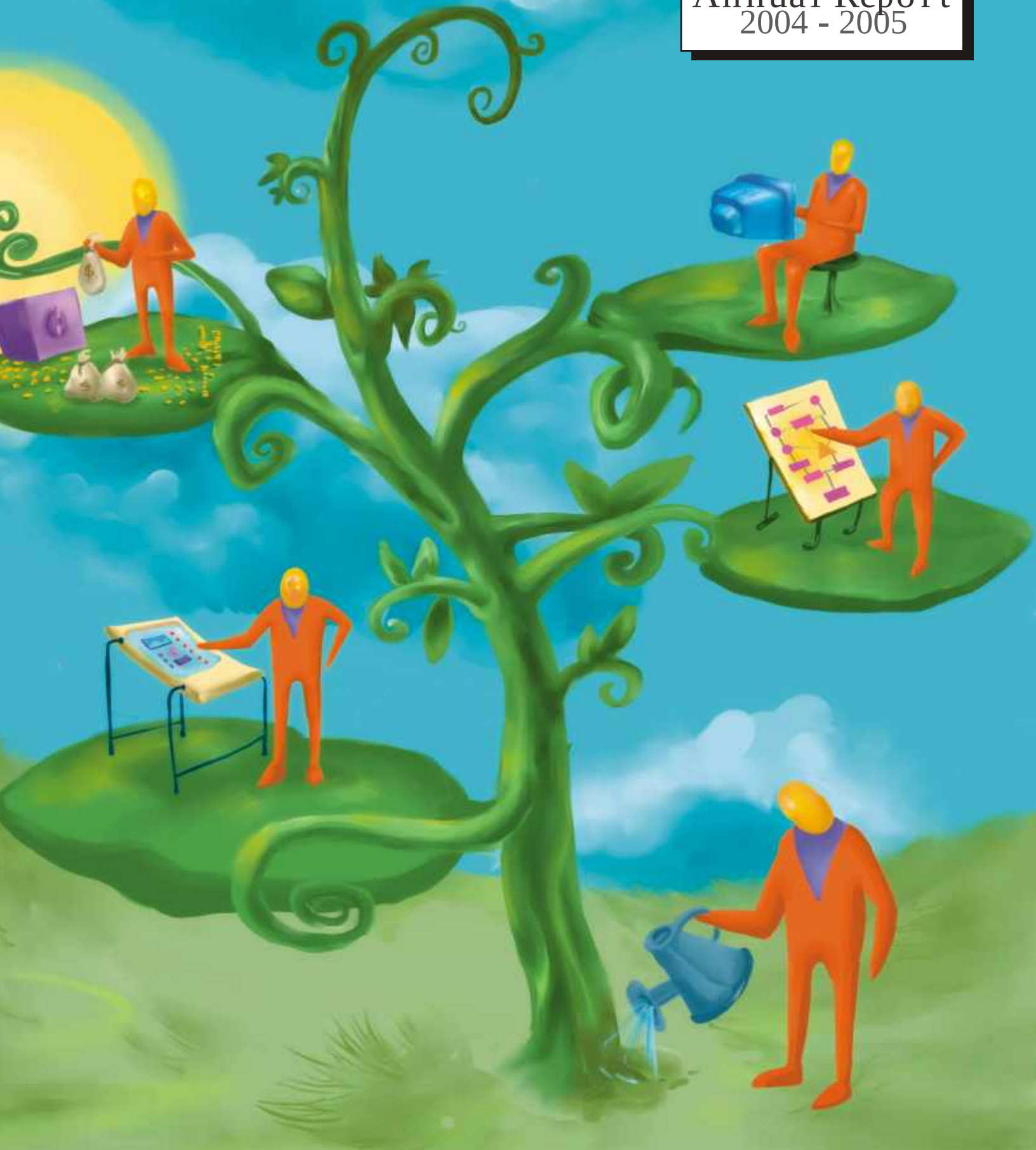


Mindteck

Annual Report
2004 - 2005



BOARD OF DIRECTORS

K. V. Aiyappan - Chairman

M. G. Ved

Satish Menon

CHIEF FINANCIAL OFFICER

P. A. Ananthanarayanan

GENERAL MANAGER - FINANCE & ADMN.

A. P. Rao

COMPANY SECRETARY

P. Vidya Sagar

REGISTERED OFFICE

C-207, Maruti Darshan,
Navghar Road, Mulund (E),
Mumbai - 400 081

AUDITORS

Deloitte Haskins & Sells
Chartered Accountants

BANKERS

UTI Bank Ltd.

REGISTRARS AND

SHARE TRANSFER AGENTS

Mondkar Computers Private Limited
21, Shakil Niwas, Mahakali Caves Road
Andheri (East), Mumbai – 400 093

SOFTWARE DEVELOPMENT CENTRES

Bangalore:

Prestige Towers, No. 801-806, 8th Floor, # 99 & 100,
Residency Road, Bangalore – 560 025

4th Floor, Janardhan Towers, Residency Road,
Bangalore – 560 025

Kolkata :

Software Technology Park,
SDF Building, Module No.529 & 530,
4th Floor, Sector V, Block EP GP,
Salt Lake Electronics Complex,
Kolkata – 700 091

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DIRECTORS' REPORT

The Shareholders
Mindteck (India) Limited

Your Directors are pleased to present the FOURTEENTH ANNUAL REPORT of your Company along with the audited Statement of Accounts for the financial year ended March 31, 2005.

FINANCIAL RESULTS

(Rs. in Million)

Particulars	Year ended 31-3-2005	6-month period ended 31-3-2004
Income from operations	114.93	49.71
Operating profit (PBIDT)	12.80	(3.72)
Interest	2.11	0.78
Depreciation	6.57	3.24
Operating profit after interest and depreciation	4.12	(7.74)
Other income	4.78	1.04
Profit before tax	8.90	(6.70)
Provision for tax	0.42	0.46
Profit after tax	8.48	(7.16)

FINANCIAL YEAR

The Company's previous accounting period was truncated to six months to align the financial year with the tax accounting year. The current financial year is for a period of twelve months, i.e. from April 1, 2004 to March 31, 2005 and consequently, the current year's figures are not comparable with that of the previous year.

RESULTS OF OPERATIONS

During the period under review, your company recorded revenues of Rs. 114.93 million, compared to Rs 49.71 million in the previous six-month period. The operating profit for the current year stands at Rs. 12.80 million as against the operating loss for the previous period of Rs 3.72 million. The net profit for the year stands at Rs 8.48 million as compared to a net loss of Rs 7.16 million in the previous year.

DIVIDEND

After a gap of two years, we are pleased to recommend a dividend of 6% per share for the financial year 2004-05, subject to approval by the shareholders in the forthcoming Annual General Meeting.

BUSINESS

Your Company is emerging from a period of consolidation to one of growth. To succeed in this rapidly maturing market, your Company has chosen to position itself as an intensely focused entity with distinctive domain competencies. At the same time, your Company also recognizes that lowering cost will remain the primary driver for technology outsourcing in the foreseeable future and so pricing pressures will remain high. To meet this challenge, your Company strives to be cost efficient in every aspect of its operations.

Following this twin strategy of focus and cost discipline, your Company has improved its competitive position in the market place over the last year. Today it is recognized as one of the foremost providers of embedded software services to customers in a wide variety of high technology industries. Our customer base today is more diverse and our relationships deeper than in the past.

During the year, investments have also been made in building both domain and technology capabilities in new areas that offer great promise in the future. To meet the growing demand, your Company has leased additional office space in Bangalore.

SUBSIDIARIES

The current financial year of the Company's two subsidiaries, Mindteck Consulting Inc. and Mindteck Systems Inc., runs from April 1, 2004 to March 31, 2005 and to that extent the current year's figures are not comparable with that of the previous year, which was for a six-month period from October 1, 2003 to March 31, 2004.

During the period under review, your Company's subsidiary, Mindteck Systems Inc. did not carry out any business operations.

A statement of financial position of the subsidiaries, pursuant to Section 212 of the Companies Act, 1956 is

annexed, which forms a part of the Annual Report.

RESPONSIBILITY STATEMENT OF THE BOARD OF DIRECTORS

The directors' responsibility statement setting out the compliance with the accounting and financial requirements specified under Section 217(2AA) of the Companies Act, 1956, in respect of the financial statements is annexed to this report.

LIQUIDITY

The liquidity position of your Company was comfortable throughout the year.

FIXED DEPOSITS

During the period under review, the Company has not accepted any deposits under Section 58-A of the Companies Act, 1956.

DIRECTORS

The following changes have taken place in the Company's Board during the year:

Mr. Ram S. Ramanathan and Mr. K. V. Aiyappan, who were initially appointed as Additional Directors on the Company's Board on June 14, 2004 were re-appointed as directors liable to retire by rotation in the previous Annual General Meeting held on August 6, 2005.

Mr. Hemant S. Sonawala resigned as the Chairman of the Company's Board effective October 28, 2004.

Mr. R. Viswanathan and Mr. Ram S. Ramanathan have resigned as Directors with effect from June 15, 2004 and February 28, 2005 respectively.

Mr. Satish Menon has been appointed as Additional Director on the Company's Board effective February 28, 2005. He will hold office until the date of ensuing Annual General Meeting. It is proposed to re-appoint him as a director liable to retire by rotation in the forthcoming Annual General Meeting.

In accordance with the provisions of the Companies Act, 1956 and the Company's Articles of Association, Mr. K. V. Aiyappan retires by rotation as Director of the Company in the coming Annual General Meeting and being eligible, offers himself for re-appointment.

AUDITORS

The Company's statutory auditors, Deloitte Haskins & Sells,

Chartered Accountants, retire at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

PARTICULARS OF EMPLOYEES

As required under the provisions of section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, as amended, the names and other particulars of employees are set out in the annexure included in this report.

CONSERVATION OF ENERGY, RESEARCH AND DEVELOPMENT, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Particulars that are required to be disclosed under sub-section (1)(e) of Section 217 of the Companies Act, 1956, read with the Companies (Disclosure of Particulars in the Report of Directors) Rules, 1988 are set out in the annexure included in this report.

MANAGEMENT DISCUSSION AND ANALYSIS & CORPORATE GOVERNANCE REPORT

The Management Discussion and Analysis and the Corporate Governance Report are annexed herewith as part of the Directors' Report.

ACKNOWLEDGEMENTS

Your Directors thank clients, vendors, investors, bankers and the Government for their continued support of your Company's growth. Your Directors also place on record, their appreciation of the dedicated efforts of employees at all levels. It is their efforts that have transformed your Company's strategies into results.

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore
June 1, 2005

ANNEXURES TO DIRECTORS' REPORT

I DIRECTORS' RESPONSIBILITY STATEMENT

The Directors confirm that:

- in preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation related to material departures.
- the Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at the end of March 31, 2005 and its profits for the year ended on that date.
- the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- the Directors have prepared the annual accounts on a going concern basis.

II INFORMATION AS PER SECTION 217(2A) OF THE COMPANIES ACT, 1956 READ WITH THE COMPANIES (PARTICULARS OF EMPLOYEES) RULES, 1975

Sr. No.	Name	Designation	Age (Years)	Remuneration (Rs.)	Qualifications	Experience (Years)	Date of Appointment	Last Employment/ Designation held
1	P A Anantha-narayanan	Chief Financial Officer	44	3,261,676	B.Tech., PGDM	18 Years	24.2.2003	COO, Opus Software, Pune
2	Shankar Velayudhan	Vice President (Technology & Delivery Solutions)	40	3,225,731	B.Tech., M.E	18 Years	14.2.2000	Program Manager, Tektronix Engg, Bangalore
3	Ravi Raman	AVP Software Services	41	2,502,899	BE., MS	16 Years	26.4.2000	General Manager, Technical, Raffles Software, Bangalore

- Remuneration shown above includes salary, HRA & other allowances, LTA, performance linked bonus, ex-gratia, company's contribution to PF and taxable values of perquisites/benefits.
- Above mentioned employees are not related to any of the directors of the Company.

III CONSERVATION OF ENERGY, RESEARCH AND DEVELOPMENT, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

(a) Conservation of Energy

The Company is not involved in any manufacturing activity and hence has low energy consumption levels. Nevertheless, the Company makes all efforts to conserve and optimize the use of energy by using energy-efficient fittings and equipment.

(b) Technology Absorption and Research and Development

The Company's research and development activities are focused on developing new frameworks, processes and methodologies to improve the speed and quality of service delivery.

(c) Foreign Exchange Earnings and Outgo

The export of software services constituted 92% of the Company's total revenues during the year under review. The earnings and expenditure in foreign exchange were:

Earnings	Rs. 105.97 million
Expenditure	Rs. 9.02 million

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore, June 1, 2005

CORPORATE GOVERNANCE REPORT

COMPLIANCE WITH CORPORATE GOVERNANCE REGULATIONS AS LAID DOWN IN CLAUSE 49 OF THE LISTING AGREEMENT

I BOARD OF DIRECTORS

As on March 31, 2005 the Company's Board comprises of three non-executive and independent directors, Mr. K.V. Aiyappan, Mr. M. G. Ved and Mr. Satish Menon. The Board has a Non-Executive Chairman, Mr. K.V. Aiyappan.

None of the independent Directors has any pecuniary relationship or transaction vis-à-vis the Company except receiving sitting fees for Board and Audit Committee meetings.

However, the Company has obtained Central Government's permission and paid remuneration to Mr. M. G. Ved @ Rs.2 lacs per annum w.e.f. January 29, 2004 for a period of one year.

The Company is currently in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. M.G. Ved for a period of three years effective January 29, 2005 with proposed annual increase of 25% per annum.

The Company is also in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with proposed annual increase of 25% per annum.

The said permissions in both cases are awaited

II AUDIT COMMITTEE

A qualified audit committee has been set up. All the members of the audit committee are non-executive and independent directors of the Board.

The Chairman of the Committee, Mr. K.V. Aiyappan is a banker with more than twenty years of experience. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. M. G. Ved, member of the Committee is a practising Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation.

Mr. Satish Menon, member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

The Company Secretary, who is secretary to the Committee, was present at all the meetings.

Necessary powers are vested with the audit committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the audit committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act and has all such additional features / functions as contained in the listing agreement.

III REMUNERATION OF DIRECTORS

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Company's shareholders in their extraordinary general meeting held on September 29, 2003 have approved payment

of sitting fees to independent directors @Rs.5,000/- per director for attending each Board meeting and Audit Committee meeting. Presently, Mr. K.V. Aiyappan, Mr. M. G. Ved and Mr. Satish Menon, independent directors, receive sitting fees for attending board and audit committee meetings @ Rs.5,000/- per meeting per director.

The Company is currently in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. M.G. Ved for a period of three years effective January 29, 2005 with proposed annual increase of 25% per annum.

The Company is also in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with proposed annual increase of 25% per annum.

The said permissions in both cases are awaited.

IV BOARD PROCEDURE

Four Board meetings were held during the year ended March 31, 2005. The Board meetings were held on June 28, 2004, July 30, 2004, October 28, 2004 and January 21, 2005. All the information to be provided to the Board in Annexure-1 of clause 49 of the listing agreement was made available to the Board.

The Company has a mandatory annual requirement for every director to inform the Company about the Board/Committee member positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 Committees or is the Chairman of more than 5 Committees across all companies in which he is a director.

V MANAGEMENT

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

VI SHAREHOLDERS

The Company informs the shareholders, on appointment or re-appointment of a Director and provides a brief resume of the Director, expertise and names of companies in which the person also holds the directorship and the membership of Committees of the board.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and put on the company's website (www.mindteck.com).

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Chairman of the Committee is Mr. K. V. Aiyappan, who is a non-executive independent Director. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee in its meetings.

VII REPORT ON CORPORATE GOVERNANCE

A detailed compliance report on Corporate Governance as prescribed in Annexure-2 of the listing agreement has been furnished below.

VIII COMPLIANCE

An auditor's Certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is attached in this annual report.

COMPLIANCE REPORT ON CORPORATE GOVERNANCE AS PRESCRIBED IN ANNEXURE-2 OF THE LISTING AGREEMENT

1. A BRIEF STATEMENT ON COMPANY'S PHILOSOPHY ON CODE OF GOVERNANCE

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems driven style of functioning. It is the Company's objective to apply corporate governance to its employees, shareholders, customers, etc.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

2. BOARD OF DIRECTORS

Composition and category of Directors			
Sr. No.	Name	Designation	Category
1	Mr. K. V. Aiyappan @	Chairman	Independent, non-executive Chairman
2	Mr. M. G. Ved	Director	Independent, non-executive Director
3	Mr. Satish Menon #	Director	Independent, non-executive Director
4	Mr. R. Viswanathan *	Director	Representing Promoters, non-executive Director
5	Mr. Hemant S. Sonawala**	Director	Independent, non-executive Chairman
6	Mr. Ram S. Ramanathan***	Director	Independent, non-executive Director

Attendance of Directors at Board Meetings and AGM held during year ended March 31, 2005					
Names of Directors	Board Meeting Dates				AGM Date
	June 28, 2004	July 30, 2004	October 28, 2004	January 21, 2005	August 6, 2004
K. V. Aiyappan @	Present	Present	Present	Present	Absent
M. G. Ved	Present	Present	Present	Present	Present
Satish Menon #	N.A.	N.A.	N.A.	N.A.	N.A.
R. Viswanathan *	N.A.	N.A.	N.A.	N.A.	N.A.
H. S. Sonawala **	Present	Present	Present	N.A.	Present
R.S.Ramanathan ***	Present	Present	Present	Present	Present

@ appointed w.e.f. 14.6.2004

appointed w.e.f. 28.2.2005

* resigned w.e.f. 15.6.2004

** resigned w.e.f. 28.10.2004

*** appointed w.e.f. 14.6.2004 and resigned w.e.f. 28.2.2005

Memberships on Committees			
Name of Director	Number of Boards on which member	Number of Board Committees on which member	Number of Board Committees on which Chairperson
K. V. Aiyappan	11	Nil	2
M. G. Ved	3	2	Nil
Satish Menon	1	2	Nil

Four Board meetings were held during the year ended March 31, 2005. The Board meetings were held on June 28, 2004, July 30, 2004, October 28, 2004 and January 21, 2005.

3. AUDIT COMMITTEE

The Company's Board of Directors constituted the Audit Committee in January 2001. The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Composition of Audit Committee			
Sr. No.	Name	Designation	Category
1	K. V. Aiyappan @	Chairman	Independent, non-executive Chairman
2	M. G. Ved	Director	Independent, non-executive member
3	Mr. Satish Menon #	Director	Independent, non-executive member
4	Mr. R. Viswanathan *	Director	Representing Promoters, non-executive member
5	Mr. Hemant S. Sonawala**	Director	Independent, non-executive Chairman
6	Mr. Ram S. Ramanathan***	Director	Independent, non-executive member and Chairman

@ appointed as a member w.e.f. 28.6.2004

appointed as a member w.e.f. 28.2.2005

* ceased to be a member w.e.f. 15.6.2004

** ceased to be a member w.e.f. 28.6.2004

*** appointed as a member w.e.f. 14.6.2004, appointed as Chairman w.e.f. 28.6.2004 and ceased to be Chairman w.e.f. 28.2.2005

Attendance of Directors at Audit Committee Meetings held during year ended March 31, 2005				
Names of Directors	June 28, 2004	July 30, 2004	October 28, 2004	January 21, 2005
K. V. Aiyappan	Present	Present	Present	Present
M. G. Ved	Present	Present	Present	Present
Satish Menon	N.A.	N.A.	N.A.	N.A.
R.Viswanathan	N.A.	N.A.	N.A.	N.A.
H. S. Sonawala	Present	Present	Present	N.A.
R.S.Ramanathan	Present	Present	Present	Present

4. SHAREHOLDERS/INVESTORS GRIEVANCE COMMITTEE

a) Name of non-executive director heading the Committee: K. V. Aiyappan

b) Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2004	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2005
No. of Investor issues	0	13	13	0
No. of legal cases	0	0	0	0

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, Mondkar Computers Pvt. Ltd., processes shares sent for transfer, transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

5. GENERAL BODY MEETINGS

Location and time of last three AGMs held		
Date of AGM	Time of AGM	Location
6-Aug-04	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Mar-04	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Nov-02	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2005.

6. DISCLOSURES

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by stock exchanges or SEBI or any other statutory authority on any matter related to capital market during the last three years.

7. MEANS OF COMMUNICATION

The half-yearly results were put up on the Company's web site (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Free Press Journal and Nav Shakti. The Company's web site also displays official news releases. A Management Discussion and Analysis report has been included in the annual report.

8. GENERAL SHAREHOLDER INFORMATION

Please refer section on Shareholder's information in this annual report.

AUDITORS' CERTIFICATE

Auditors' certificate to the members of Mindteck (India) Limited on compliance of conditions of corporate governance for the year ended March 31, 2005, under clause 49 of the listing agreements with the relevant stock exchange. We have examined the compliance of conditions of corporate governance by Mindteck (India) Limited(the "Company") for the year ended March 31, 2005 as stipulated in Clause 49 of the Listing Agreement of the said company with the relevant Stock Exchange.

The compliance of conditions of corporate governance is the responsibility of the Management. Our examination is limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representation made by the management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the abovementioned Listing Agreement.

We state that no investor grievances are pending for a period exceeding one month as on March 31, 2005 against the Company as per the records maintained by the Shareholders/ Investors Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the company.

For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore, June 1, 2005

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

(A) BUSINESS OVERVIEW

Mindteck (India) Limited provides a wide range of information technology solutions that help customers enhance their overall business performance. The Company is a leading provider of product development lifecycle services with years of experience in embedded systems development. Our technology capabilities are well supported by industry-specific experiences in developing embedded software solutions for test and measurement equipment, semiconductor manufacturing, mobile, wireless, and medical equipment industries. We also offer a broad spectrum of IT services including custom application development, application management, reengineering and independent testing services. These services are offered across a wide range of technologies.

A major proportion of the Company's sales and business development activities are carried out through its subsidiaries and fellow subsidiaries that are geographically focused, thus enabling the Company to customize its solutions to customer needs. The Company's primary geographic market is the USA. Mindteck's end customers include Fortune 500 companies, multinationals, small and medium enterprises across several industries.

(B) THE CURRENT OPERATING ENVIRONMENT AND OUTLOOK

During the period under review, the worldwide market for IT services witnessed a gradual recovery. With cost pressures continuing to constrain spending, companies are recognizing the benefits of using offshore technology service providers for a variety of their IT needs. To capitalize on this and other emerging opportunities, the Company is continuing with several initiatives aimed at strengthening its competitive position by enhancing its solution set, seeking higher penetration into existing customers, developing new customers and by expanding geographically.

(C) COMPETITIVE ENVIRONMENT

The IT services market is highly competitive with large number of global consulting firms, divisions of

technology firms and IT outsourcing companies. The Company competes with internal IT departments of its customers for business as well. In the future, the Company expects competition from companies establishing development centers in lower cost locations across the world.

Mindteck's primary vectors of differentiation in this competitive market place are its global delivery capabilities, deep industry expertise and excellent relationship management. The Company's global delivery capabilities enable it to provide its customers with the right skills, at the right place, at the right time and at the right price. Its industry expertise is built by developing unique combinations of domain and technology knowledge components that can be combined flexibly and swiftly to produce solutions of value. The Company's relationship management processes are founded on trust and strive to build long term partnerships with customers so that the cost and quality of its deliverables can be continuously improved.

(D) REVENUE CONTRIBUTION FROM GEOGRAPHIC SEGMENTS

As with most other Indian IT services companies, Mindteck derives a major proportion of its revenue from customers in the US. During the period under review the Company derived 87.4% of its revenue from the US. To reduce the risk inherent in this dependence on the US market, efforts have been initiated to geographically diversify revenues.

(E) RISKS

In its quest to achieve its business objectives the Company is faced with numerous external and internal risks:

a) Exchange Rate Fluctuations

The Company's functional currency is the Indian Rupee. Substantially, all of the Company's revenues are generated in US Dollars while most of its expenses are incurred in Indian Rupees. The appreciation of the Rupee against the US Dollar adversely impacts the Company's profitability and operating results.

The Company seeks to meet expenses through receipts in the same currency. The Company also seeks to reduce the effect of exchange rate fluctuations on operating results by purchasing

foreign exchange forward contracts to cover a portion of outstanding accounts receivable.

b) *Business Concentration*

The Company's business today is largely concentrated in the US. Further, a major proportion of the Company's revenue is derived from IT services in the embedded systems space.

To mitigate the risk arising from this concentration, the Company has initiated a number of steps aimed at broadening the service offerings to existing customers as well as to expand the Company's' business development efforts geographically.

c) *Customer Order Execution*

The Company's delivery of software solutions to its customers is subject to quality risks and to uncertainty in execution within budgeted time and costs. The Company believes that robust software engineering processes significantly reduce these risks and has adopted the Software Engineering Institute's Capability Maturity Model (SEI-CMM). This model ensures that risks are identified and measures are taken to mitigate them at the project planning stage itself.

The Company also faces the risk of litigation if it fails to adhere to agreed deliverables and/or is in breach of contractual obligations pertaining to the protection of customers' intellectual property rights, patents and copyrights. The Management is initiating a review and documentation process for contracts which will focus on evaluating the legal risks in a contract, ascertain the Company's responsibilities and limit its liabilities.

d) *Human Resource Management*

The Company's ability to deliver value to its customers depends largely on its ability to attract and retain skilled and talented IT professionals. There is significant competition for these resources which has been heightened by the entry of overseas competitors into the Indian market.

The Company seeks to attract talented professionals by showcasing the variety and the quality of work that the Company's employees have delivered to customers worldwide. To retain employees the Company invests in a number of

learning initiatives that seek to enhance employees' technical, inter personal as well as managerial skills

(F) INTERNAL CONTROL SYSTEMS

Internal control systems in the Company are intended to provide reasonable assurance that assets are safeguarded, transactions are executed in accordance with Management's authorization and properly and promptly recorded and accounting records are adequate for the preparation of financial statements and other financial information.

Internal audits are performed periodically to ascertain the adequacy and effectiveness of internal control systems. The audit committee of the Board periodically reviews the functions of internal audit.

(G) FINANCIAL CONDITION

Financial Year

The Company had reduced the previous financial year to 6 months so as to align the financial year with the company's tax accounting year. The financial year under discussion is for 12 months from April 2004 to March 2005.

Share capital

The authorized share capital of the company is Rs. 200 million divided into 15 million equity shares of par value Rs. 10 each and 500,000 cumulative non-convertible redeemable preference shares of Rs.100/- each. There has been no change in the issued, subscribed and paid up capital over the last year which stands at Rs. 97.26 million as on March 31, 2005.

Reserves & Surplus

The General Reserve stands at Rs. 0.50 million and the surplus in profit & loss account at Rs. 1.68 million.

Secured Loans

The company has credit facilities with UTI Bank Ltd. Borrowings under these facilities are secured against the company's property at Kolkata and the book debts of the company. The borrowings as on March 31, 2005 stood at Rs. 19.84 million.

Fixed assets

During the year, the Company added Rs. 4.08 million to its gross block of assets that included investments in computers and software of Rs. 3.47 million. The company also retired assets with a gross block of

Rs. 3.01 million and a net book value of Rs. 0.67 million.

Investments

The investments in the company's wholly owned subsidiaries remain unchanged at Rs. 57.60 million. During the year Mindteck Consulting Inc. recorded a net profit of Rs. 6.15 million on revenues of Rs. 240.81 million. Mindteck Systems Inc. did not carry out any business operations.

Current Assets

Sundry debtors increased from Rs. 47.14 million as of March 31, 2004 to Rs. 65.18 million (net of provision for doubtful debts) as of March 31, 2005. These debtors are considered good and realizable.

Cash and Bank Balances reduced to Rs. 23.45 million from Rs. 30.67 million. These balances include both rupee accounts and foreign currency accounts.

Advances are amounts paid in advance for value and services to be received in future. Advance income tax represents payments made towards current tax liability as well as refunds due for the previous years. Advances to staff are recoverable within a year.

Current liabilities and provisions

Current liabilities and provisions have increased by Rs. 4.81 million to Rs. 20.49 million as of March 31, 2005 from Rs. 15.68 million as of March 31, 2004. Sundry creditors represent amounts payable to vendors for the supply of goods and services. Provision for taxation represents estimated income tax liabilities.

In compliance with the Accounting Standard 22 issued by the Institute of Chartered Accountants of India, the company has not recognized any deferred tax assets/liabilities. In fact the timing difference relating mainly to depreciation and unabsorbed losses results in a Net Deferred Asset and has not been recognized as a measure of prudence.

(H) RESULTS OF OPERATIONS

Income

Income from operations for the year was Rs. 114.93 million against Rs. 49.71 million recorded in the six months of the previous year. On an annualized basis, this represents a growth rate in income of 16 %.

The company's revenues are generated principally from

offshore software development services. These services are delivered either on a fixed price basis or on a time and material basis.

Expenditure

The manpower cost for the year was Rs. 69.15 million against Rs. 30.57 million in the previous period. As a percentage of revenue, manpower costs have decreased from 61.5 % to 60.2% during the current period. Manpower costs consist of salaries paid to employees in India and include overseas staff expenses. Consultancy and sub-contract charges represent the cost of sub-contractors used for software development activities.

The operational and administrative expense for the year was Rs. 32.80 million when compared to Rs.22.77 million incurred in the previous period.

The finance expenses increased to Rs. 2.11 million from Rs. 0.78 million in the previous period.

The company provided Rs. 6.57 million for depreciation compared to Rs. 3.24 million that was provided in the previous period.

The company has made a provision for taxation of Rs. 0.42 million for taxes under the Minimum Alternate Tax (MAT) as per the Income Tax Act 1961.

Other Income

Other income earned was Rs. 4.78 million against Rs. 1.04 million earned in the previous period. Other income includes interest received on deposits with banks, rent received, exchange difference, reversal of excess provision of earlier years and other miscellaneous income.

Liquidity

The liquidity of the company was comfortable throughout the year

(I) HUMAN RESOURCES

The total number of employees increased from 98 as on March 31, 2004 to 152 as on March 31, 2005. To reduce attrition levels, the Company has initiated a number of programs that include an empowered work environment, learning opportunities, global exposure and competitive compensation packages.

AUDITORS' REPORT

To the Members of
Mindteck (India) Limited

1. We have audited the attached Balance Sheet of Mindteck (India) Limited as at 31st March, 2005 and also the Profit and Loss Account and the Cash Flow Statement of the Company for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Management of the Company. Our responsibility is to express an opinion on these financial statements based on our audit.
 2. We conducted our audit in accordance with auditing standards generally accepted in India. These Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the Management as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
 3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of Section 227 (4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order; to the extent applicable to the Company.
 4. Further to our comments in the Annexure referred to above, we report that:
 - (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) in our opinion, proper books of account as required by law have been kept by the Company, so far as it appears from our examination of the books;
 - (c) the Balance Sheet, the Profit and Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - (d) in our opinion, the Balance Sheet, the Profit and
- Loss Account and Cash Flow Statement dealt with by this report are in compliance with the Accounting Standards referred to in Section 211 (3C) of the Companies Act, 1956;
- (e) On the basis of the written representations from the directors, taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2005 from being appointed as a director under Section 274 (1)(g) of the Companies Act, 1956;
5. In our opinion and to the best of our information and according to the explanations given to us, the said accounts give the information required, by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (i) in the case of the Balance Sheet, of the state of affairs of the Company as at 31st March, 2005;
 - (ii) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
 - (iii) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

For **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 1, 2005

Annexure referred to in paragraph 3 of our report of even date

1. The nature of the Company business/activities during the year is such that the Clauses i (c), ii, iii (b) to (d), (f), (g), v(b),vi, viii, ix (b), x, xi, xii, xiii, xiv, xv, xvi, xviii, xix and xx are not applicable.
2. The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets. Some of the fixed assets were physically verified during the period by the management in accordance with a program of verification, which in our opinion provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanations given to us no material discrepancies were noticed on such verification.
3. According to the information and explanations given to us, during the year the Company has not granted or taken any loans, secured or unsecured to or from companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956.
4. In our opinion and according to the information and explanations given to us, there are adequate internal control procedures commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services and we have not observed any continuing failure to correct the major weaknesses in such internal controls.
5. To the best of our knowledge and belief and according to the information and explanations given to us there are no contracts or arrangements that need to be entered in the register maintained in pursuance of Section 301 of the Companies Act, 1956.
6. In our opinion, the internal audit functions carried out during the period by an independent firm of Chartered Accountants appointed by the management have been commensurate with the size of the Company and the nature of its business.
7. In respect of Statutory dues:
 - a) According to the information and explanations given to us, the Company has been regular in depositing undisputed statutory dues, including

Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth Tax, Custom Duty, Excise Duty, cess and any other material statutory dues with the appropriate authorities during the period and there are no undisputed statutory dues outstanding for a period of more than six months from the date they became payable as at the balance sheet date.

- b) According to the information and explanations given to us, there are no dues of sales tax, customs duty, wealth tax, service tax, excise duty and cess which have not been deposited as on March 31, 2005 on account of any dispute, excepting to Income Tax, the details of which are given below:

Name of the Statute	Nature of the Dues	Amount (Rs.)	Period to which the amount relates	Forum where dispute is pending
Income Tax Act	Penalties	13,419,686	1998-99	Commissioner of Income Tax Appeals, Mumbai

8. According to the information and explanations given to us, and on an overall examination of the balance sheet of the Company, funds raised on short term basis have, *prima facie*, not been used during the period for long term investment.
9. To the best of our knowledge and belief and according to the information and explanations given to us, no fraud on or by the Company was noticed or reported during the year.

For **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 1, 2005

BALANCE SHEET AS AT MARCH 31, 2005

	Schedule	Rupees	As At 31-3-2005 Rupees	As At 31-3-2004 Rupees
SOURCES OF FUNDS				
SHAREHOLDERS' FUNDS				
Share Capital	1		97,255,640	97,255,640
Reserves & Surplus	2		100,965,726	99,143,790
			198,221,366	196,399,430
LOAN FUNDS				
Secured Loans	3		19,836,018	20,294,606
TOTAL			218,057,384	216,694,036
APPLICATION OF FUNDS				
FIXED ASSETS				
Gross Block	4	65,895,603		64,827,301
Less : Depreciation		29,121,614		24,897,116
Net Block			36,773,989	39,930,185
Capital Work in Progress (at Cost, including advances)			251,427	111,729
			37,025,416	40,041,914
INVESTMENTS	5		57,596,220	57,596,220
CURRENT ASSETS, LOANS AND ADVANCES				
Interest Accrued but not due		302,891		698,594
Sundry Debtors	6	65,175,943		47,137,178
Cash & Bank Balances	7	23,447,169		30,667,610
Loans & Advances	8	54,786,917		55,835,406
			143,712,920	134,338,788
LESS : CURRENT LIABILITIES AND PROVISIONS				
Current Liabilities	9	10,516,764		12,914,811
Provisions		9,974,319		2,765,338
			20,491,083	15,680,149
NET CURRENTS ASSETS			123,221,837	118,658,639
MISCELLANEOUS EXPENDITURE	10		213,911	397,263
[To the extent not written off]				
Debit balance in Profit/Loss Account			—	138,391
Less: Balance in General Reserve as per contra			—	138,391
TOTAL			218,057,384	216,694,036

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS 16

The schedules referred to above form an integral part of the accounts

As per our report of even date attached
For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

For and on behalf of the Board
K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2005

	Schedule	Rupees	Year ended 31-3-2005 Rupees	6-Month period ended 31-3-2004 Rupees
INCOME				
Income from Operations	11		114,930,870	49,706,875
Other Income	12		4,775,669	1,043,002
TOTAL			119,706,539	50,749,877
EXPENDITURE				
Manpower Costs	13	69,150,953		30,571,820
Operating and Administration Expenses	14	32,802,053		22,768,781
			101,953,006	53,340,601
Financial Charges	15		2,107,605	777,421
Depreciation	4		6,566,896	3,238,823
Deferred Revenue Expenses Written off	10		183,352	91,676
TOTAL			110,810,859	57,448,521
Profit/(Loss) before Taxation			8,895,680	(6,698,644)
Taxation				
- Current tax			420,000	-
- Taxes Paid in USA			-	459,851
- Deferred Tax (Note B 5)			-	-
Profit/(Loss) after Taxation			8,475,680	(7,158,495)
Surplus/(Loss) brought forward from previous year			(138,391)	7,020,104
Balance available for appropriation			8,337,289	(138,391)
Balance in General Reserve as per Contra			-	138,391
Proposed Dividend @ 6%			5,835,338	
Corporate Dividend Tax			818,406	-
Balance Carried to Balance Sheet			1,683,545	(138,391)
			8,337,289	(138,391)
Basic and Diluted Earning Per Share				
- Profit/ (Loss) for the year/period			8,475,680	(7,158,495)
- Weighted average number of equity shares			9,725,564	9,725,564
- Basic and Diluted Earnings per Share of Equity Share of Rs. 10 each			0.87	(0.74)

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS 16

The schedules referred to above form an integral part of the accounts

As per our report of even date attached
For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

For and on behalf of the Board
K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

Schedules annexed and forming part of the Balance Sheet

	Rupees	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
SCHEDULE - 1			
SHARE CAPITAL			
AUTHORISED			
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each		150,000,000	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each		50,000,000	50,000,000
TOTAL		200,000,000	200,000,000
ISSUED, SUBSCRIBED AND PAID UP			
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up Of the above,		97,255,640	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd. pursuant to the amalgamation			
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are allotted as fully paid up for Consideration other than cash			
3 a. 7,377,257 Equity shares (Previous Year 7,397,257) are held by Embtech Holding Limited, Marutius the holding company			
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust			
TOTAL		97,255,640	97,255,640
SCHEDULE - 2			
RESERVES & SURPLUS			
Capital Reserve			
Opening Balance		35,689,935	35,689,935
		35,689,935	35,689,935
Securities Premium			
Opening Balance		63,092,246	63,092,246
		63,092,246	63,092,246
General Reserve			
Opening Balance		500,000	500,000
Less: Debit balance in profit & loss account as per contra		--	138,391
		500,000	361,609
Surplus in Profit & Loss Account		1,683,545	—
TOTAL		100,965,726	99,143,790

Schedules annexed and forming part of the Balance Sheet

SCHEDULE - 3

SECURED LOANS

Cash Credit Facilities from Scheduled Banks

(Secured against Fixed Deposits aggregating Rs 20,000,000/- {P Y 10,000,000/-} with UTI Bank Ltd and a first charge on Building at Kolkatta and Book Debts of the Company)

TOTAL

Rupees	As at 31-03-2005 Rupees	As at 31-03-2004 Rupees
	19,836,018	20,294,606
	<u>19,836,018</u>	<u>20,294,606</u>

SCHEDULE - 4

FIXED ASSETS

ASSETS	GROSS BLOCK (AT COST)				DEPRECIATION				NET BLOCK	
	As at 01.04.2004	Additions during the period	Deletions	As at 31.03.2005	As at 01.04.2004	Additions during the period	Deletions	As at 31.03.2005	As at 31.03.2005	As at 31.03.2004
GOODWILL (Arising on Acquisition)	7,000,000	—	—	7,000,000	—	—	—	—	7,000,000	7,000,000
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	37,565,421	3,474,247	2,597,495	38,442,173	21,269,962	5,781,434	2,219,900	24,831,496	13,610,677	16,295,459
OFFICE EQUIPMENTS	3,835,250	483,255	168,329	4,150,176	956,570	197,143	40,111	1,113,602	3,036,574	2,878,680
FURNITURE & FIXTURES	5,399,094	94,057	246,433	5,246,718	1,607,028	361,417	82,387	1,886,058	3,360,660	3,792,066
VEHICLES	501,787	—	—	501,787	98,735	47,670	—	146,405	355,382	403,052
OTHER EQUIPMENTS	369,229	29,000	—	398,229	127,286	13,681	—	140,967	257,262	241,943
LEASE HOLDINGS	10,156,520	—	—	10,156,520	837,535	165,551	—	1,003,086	9,153,434	9,318,985
	64,827,301	4,080,559	3,012,257	65,895,603	24,897,116	6,566,896	2,342,398	29,121,614	36,773,989	39,930,185
PREVIOUS YEAR	63,483,548	1,371,953	28,200	64,827,301	21,671,249	3,238,823	12,956	24,897,116	39,930,185	

Rupees	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
5,029,750		5,029,750
<u>(5,029,750)</u>		<u>(5,029,750)</u>
	—	—
	57,596,220	57,596,220
	<u>57,596,220</u>	<u>57,596,220</u>

SCHEDULE - 5

INVESTMENTS : Long Term, Unquoted (At Cost)

In shares of Wholly owned Subsidiaries : (Trade)

- (1) 1,600 Common Stock (Shares) no Par Value
(Previous Year 1,600)
of Mindteck Systems Inc. (formerly known as
Hinditron International Inc., U S A)
Less : Provision for Dimunition in value of Investments

- (2) 432 Common Stock (Shares) at \$ 5000 Par Value
of Mindteck Consulting Inc, USA
TOTAL

Schedules annexed and forming part of the Balance Sheet

	Rupees	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
SCHEDULE - 6			
SUNDRY DEBTORS			
(Unsecured)			
A Debts Outstanding for a period exceeding six months			
Considered good		3,216,092	271,489
Considered doubtful		275,000	275,000
B Others Debts			
Considered good			
- Due from Subsidiary [Max O/S during the year Rs.5,821,986/- previous period Rs.4,897,359/-]	4,667,930		3,101,114
- Due from Holding Company [Max O/S during the year Rs.43,080/- previous period Rs.54,810/-]	-		43,080
- Due from others	57,291,921	61,959,851	43,721,495
		65,450,943	47,412,178
Less : Provision for doubtful debts		(275,000)	(275,000)
TOTAL		65,175,943	47,137,178
SCHEDULE - 7			
CASH AND BANK BALANCES			
Cash on Hand		24,228	14,528
Balances with Scheduled Banks:			
In Current Accounts		3,417,941	2,883,558
In Deposit Accounts		20,005,000	27,769,524
(Pledged for margin money Rs. 1,60,543 (Previous period Rs. 1,60,543/-) with Banks and Government Authorities) [Pledged for secured loans Rs.20,000,000 (Previous period Rs.10,000,000)]			
TOTAL		23,447,169	30,667,610
SCHEDULE - 8			
LOANS AND ADVANCES			
(Unsecured, considered Good, unless otherwise stated)			
Advances recoverable in cash or kind or for value to be received			
Mindteck Employees Welfare Trust [Note B 2]		40,113,982	40,113,982
Advance to Staff		134,078	1,219,744

Schedules annexed and forming part of the Balance Sheet

	Rupees	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
Advance to Suppliers/others		28,687	385,972
Prepaid Expenses		1,113,288	665,598
Advance Income Tax and Tax deducted at source		2,904,954	3,265,655
Deposits - with Government Bodies		432,102	436,120
Deposits - Others		10,059,826	9,748,335
TOTAL		54,786,917	55,835,406

SCHEDULE - 9

CURRENT LIABILITIES AND PROVISIONS

Current Liabilities

Sundry Creditors - Capital [Note B12]	338,000		-
Sundry Creditors - Others [Note B12]	6,798,498		9,830,021
Due to Subsidiary (Maximum Outstanding during the year Rs. 818,893/-)	-		813,268
Deposits	828,200		-
Unclaimed Dividends [Note B4]	183,749		185,456
Amount to be credited to investor education & protection fund [Note B4]	-		-
Share Application Refund Account	6,575		6,575
Others Liabilities	2,361,742		2,079,491
		10,516,764	12,914,811

Provisions

Provision for Leave Encashment	1,629,293		1,494,056
Provision for Taxation	1,691,282		1,271,282
Proposed Dividend	5,835,338		-
Provision for Corporate Dividend Tax	818,406		-
		9,974,319	2,765,338
TOTAL		20,491,083	15,680,149

SCHEDULE - 10

MISCELLANEOUS EXPENDITURE

[To the extent not written off or adjusted]

Opening Balance/Amalgamation Expenses	397,263		488,939
Less : Written/Amortised off during the period	183,352	213,911	91,676
[Note A (x)]			
TOTAL		213,911	397,263

Schedules annexed to and forming part of the Profit & Loss Account

	<u>Rupees</u>	<u>Year ended 31-3-2005 Rupees</u>	<u>6-Month period ended 31-3-2004 Rupees</u>
SCHEDULE - 11			
INCOME FROM OPERATIONS			
Income from Software Services			
Domestic		8,959,726	4,454,255
Exports		105,971,144	45,252,620
(Tax deducted at source Rs.554,672/- [Previous period 305,180/-])			
TOTAL		<u>114,930,870</u>	<u>49,706,875</u>
SCHEDULE - 12			
OTHER INCOME			
Interest from banks		1,042,883	881,231
(Tax deducted at source Rs.218,991/- [Previous Period Rs.422,928/-])			
Interest on Income Tax Refund		120,364	-
Miscellaneous Income		254,759	16,090
Provision no longer required written back		996,756	145,681
Rent received		690,152	-
Exchange fluctuation		1,670,755	-
TOTAL		<u>4,775,669</u>	<u>1,043,002</u>
GRAND TOTAL		<u>119,706,539</u>	<u>50,749,877</u>
SCHEDULE - 13			
MANPOWER COSTS			
Salaries and Allowances		63,109,536	28,420,074
Company's Contribution to Provident and Other Funds		2,956,407	1,104,855
Staff Welfare Expenses		665,965	285,420
Consultancy Charges		2,419,045	761,471
		-	-
TOTAL		<u>69,150,953</u>	<u>30,571,820</u>

Schedules annexed to and forming part of the Profit & Loss Account

	Rupees	Year ended 31-3-2005 Rupees	6-Month period ended 31-3-2004 Rupees
SCHEDULE - 14			
OPERATING & ADMINISTRATION EXPENSES			
Rent [Note B 8]		11,723,151	5,669,605
Leasing and Hiring charges		477,183	1,322,225
Rates & Taxes		567,133	446,312
Insurance Premium		292,695	184,994
Telephone, Telex and Postage		3,422,522	1,661,000
Electricity		2,698,713	1,133,872
Travelling Expenses		4,124,137	5,960,721
Repairs and Maintenance		—	—
- Computer		710,658	368,920
- Others		742,541	320,571
Professional Charges		1,018,201	490,034
Remuneration to Non Executive Directors		217,264	34,946
Remuneration to Auditors (Refer Note B 7)		668,645	637,511
Printing & Stationery		517,371	394,658
Service Charges		—	176,960
Miscellaneous Expenses		2,311,748	999,600
Membership & Subscription		992,101	252,330
Recruitment Expenses		1,673,565	638,594
Loss on Sale/Discarded Fixed Asset		594,355	12,774
Foreign Exchange Fluctuation (Net)		—	2,063,184
Bad Debts Written Off		50,070	—
TOTAL		32,802,053	22,768,781
SCHEDULE - 15			
FINANCIAL CHARGES			
Interest			
On Cash Credit		1,926,259	764,019
Bank Charges		181,346	13,402
TOTAL		2,107,605	777,421

SCHEDULE – 16

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS

A. SIGNIFICANT ACCOUNTING POLICIES

i) ACCOUNTING CONVENTION:

The financial statements are prepared on accrual basis under the historical cost convention and are in accordance with the provisions of the Companies Act, 1956 and generally accepted accounting principles.

ii) USE OF ESTIMATES:

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

iii) REVENUE RECOGNITION:

Software Development Service revenue on time and material contracts are recognized as per terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

iv) FIXED ASSETS:

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest/ Hire charges.

v) BORROWING COSTS:

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

vi) DEPRECIATION

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

- (a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.
- (b) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

vii) INVESTMENTS:

Long-term investments are carried at cost, and provision is made to recognise any decline, other than temporary, in the value of such investment. Cost of Investments acquired in exchange of Equity Shares is recognized on fair value principle.

viii) RETIREMENT BENEFITS:

- (a) Contribution in respect of Provident Fund is paid to the Provident Fund commissioner in accordance with the rules made under the Employees Provident Fund Act and charged against revenue.
- (b) Contributions in respect of Gratuity for the period is made on actuarial basis and paid to Group Gratuity Trust, which has taken Group Gratuity policies with Life Insurance Corporation of India.
- (c) Leave Encashment has been provided on actuarial basis.

ix) FOREIGN CURRENCY TRANSACTIONS:

- (a) Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the

time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognised in the Profit and Loss Account.

- (b) Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortised as expense or income over the life of the contract. Exchange differences on such contracts are recognised in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or as expense for the year.
- (c) Foreign currency current assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition of Fixed Assets which are adjusted in cost of assets as per statute).

x) MISCELLANEOUS EXPENDITURE:

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortised over a period of 5 years.

xi) LEASES:

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases and the lease rentals thereon are charged to the Profit and Loss account on accrual basis.

xii) INCOME TAX:

Income tax expense includes Current & Deferred, Indian & Overseas.

Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses, depreciation and other timing differences are recognised only to the extent there is virtual certainty that the same can be realised in future and in respect of other items where there is reasonable certainty as to realisation.

xiii) EMPLOYEES SHARE INCENTIVE SCHEME:

The company has a share incentive scheme for the benefit of its employees. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. Based on legal opinion, the aforesaid incentive scheme does not attract the provisions of the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999.

xiv) CASH FLOW STATEMENT:

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the Institute of Chartered Accountants of India.

xv) PROVISIONS:

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

B. NOTES ON ACCOUNTS

1. CONTINGENT LIABILITIES & COMMITMENTS:

- a) (i) In respect of Guarantees given by bank on behalf of Company. Rs. 420,000/- (Previous period Rs. 420,000/-)
- (ii) Claims against the company not acknowledged as debt Rs 311,786/- (Previous period Nil).
- (iii) Disputed Income Tax Demands Rs 13,419,686/- (Previous period Nil).
- b) Estimated amount of Contracts pending to be executed on Capital Account (Net of Advances) is Rs. NIL (Previous period Rs. NIL)

2. Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is guaranteed by an intermediary holding company.

3. In the opinion of the Board of Directors, Current Assets, Loans and Advances have a value on realisation, in the ordinary course of business, at least equal to the amount at which they are stated in the Balance Sheet, except where otherwise indicated.

4. The amount of Rs 183,749/- represents the unclaimed dividend for the period from 2001 to 2002. No part thereof has remained unpaid or unclaimed for a period of seven years from the date they became due for payment requiring a transfer to the Investor Education and Protection Fund.

5. DEFERRED TAXES:

The timing difference relating mainly to depreciation and unabsorbed losses for the period ended 31st March 2005 results in Net Deferred Asset. As a measure of prudence, the Net Deferred Asset relating to the above have not been recognized in the accounts.

6. MANAGERIAL REMUNERATION:

A: To MANAGER

	1-4-2004 to 31-3-2005	12-1-2004 to 31-3-2004
Salary and Allowances	3,074,409	586,494
Contribution to Provident Fund (& others)	121,500	24,997
Perquisites	65,767	4,761
	<u>3,261,676</u>	<u>616,252</u>

The above remuneration has been approved by the Central Government.

B: TO NON EXECUTIVE DIRECTOR

	1-4-2004 to 31-3-2005	29-1-2004 to 31-3-2004
Remuneration to Non-Executive Directors	217,264	34,946
	<u>217,264</u>	<u>34,946</u>

The above remuneration includes Rs. 52,210/- payable which is subject to the approval from the Shareholders and the Central Government.

7. REMUNERATION TO AUDITORS :

	During the Year ended on 31-3-2005	During the 6-Month period ended on 31-3-2004
As auditors:		
Statutory Audit	400,000	275,000
Tax Accounts/ Tax Audit	50,000	100,000
Taxation Matters	--	200,000
Other Capacity	1,50,000	–
Expenses (Includes Service Tax)	68,645	62,511
Total	668,645	637,511

8. LEASES:

Operating Leases

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal option with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows :

	As at 31-3-2005 Rs.	As at 31-3-2004 Rs.
(I) not later than one year	7,732,688	6,511,077
(ii) later than one year and not later than three years	Nil	120,340

The leases rentals [(including maintenance cost of Rs 48,000/- (Previous Period Rs 24,000/-)] recognized in the accounts for the year is Rs. 11,590,389/- [Previous Period Rs 5,154,294/-].

9. RELATED PARTIES:

Details of Related parties where controls exists is as under:

(a) Holding Company

- Transcompany Limited – Ultimate Holding Company
- Vanguard Investments Ltd - Intermediary Holding Company
- Mindteck Holdings Ltd., - Intermediary Holding Company
- Business Holdings Ltd, - Intermediary Holding Company
- Garrington Investments Ltd, - Intermediary Holding Company
- Embtech Holdings Ltd, - Holding Company

(b) Fellow Subsidiaries

- Mindteck USA Inc.,
- Mindteck UK Ltd
- Mindteck Singapore Pte Ltd
- Mindteck Kabushiki Kaisha
- Mindteck Middle East SOC
- Syncsoft Inc
- Infotech Ventures Ltd, BVI

(c) Subsidiaries

- Mindteck Consulting Inc., USA
- Mindteck Systems Inc., USA

(d) Key Managerial Personnel

- P. A. Ananthanarayanan - Manager

(e) Transactions with Related Parties:

(Amount in Rs.)

Transactions With Related Parties	Subsidiaries		Fellow Subsidiaries		Key Management Personnel		Holding Company		Total	
	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04
Sales	8,830,987	3,043,917	92,580,027	41,009,698		–	–	53,850	101,411,014	44,107,465
Expenses/Reimbursement of Exp	79,355	835,613	231,076	396,104		–	–	–	310,431	1,231,717
Key Managerial Remuneration	–	–	–	–	3,261,676	616,252	–	–	3,261,676	616,252
Outstanding Balance :										
Due from	4,667,930	3,101,114	56,436,025	40,728,632		–	–	43,080	61,103,955	43,872,826
Due to	–	813,268	158,805	503,407		–	–	–	158,805	1,316,675

10. SEGMENT REPORTING:

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on “Segment Reporting” issued by The Institute of Chartered Accountants of India. Geographical Segment constitutes the Secondary Segment of the Company

The Details of secondary segment of the company is as follows :

	31-3-2005 (12-Months) Rs.	31-3-2004 (6-Months) Rs.
Revenue		
- USA	100,497,383	39,513,624
- Others	14,433,487	10,193,251
	114,930,870	49,706,875

- During the previous year, Leave encashment payable was provided on actual basis for the unavailed leave credit outstanding on account of each employee, which has now been provided on the basis of actuarial valuation. Consequent to this change, the Company’s profit in the current year is higher by Rs 233,665/.
- On the basis of information available with the Company, as of 31st March, 2005 the Company had no outstanding dues to any small scale industrial undertaking including interest on delayed payments during the period to any supplier who is a small scale or ancillary industrial undertaking as defined under the “Interest on Delayed payments to small Scale & Ancillary Industrial Undertaking Act, 1993”.

13. The details of provisions under AS 29 is given below :

Sl No.	Nature of Expense	Expected period of outflow	Opening Balance as on 1-4-2004	Additions	Utilisation/ reversal	Closing Balance as on 31-3-2005
1	Leave Encashment	–	1,494,055	699,593	564,355	1,629,293

14. Information pursuant to 4D of part II of the Schedule VI of The Companies' Act 1956.

	31-3-2005 (12 months) Rs.	31-3-2004 (6 months) Rs.
(a) C.I.F. value of imports: (Cash Basis) Capital Goods	2,076,018	440,165
(b) Expenditure in Foreign currency: (Cash basis) Foreign Travel Project Expenses	5,421,847 1,518,030 <u>6,939,877</u>	7,438,888 Nil <u>7,438,888</u>
(c) Earnings in Foreign Exchange: (Accrual basis) Export of software services Others (Reimbursement of expenses)	105,971,144 Nil <u>105,971,144</u>	45,252,620 Nil <u>45,252,620</u>

15. Current Period figures reflect operations for 12 months period, while the previous period figures reflect operations for 6 months and hence are not comparable. Previous Periods figures have been regrouped/reclassified to conform with the current grouping/classification.

Signature to Schedule 1 to 16

As per our report of even date attached

For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

Bangalore
June 1, 2005

Bangalore
June 1, 2005

CASH FLOW STATEMENT

	For the Year ended 31-3-2005 Rupees	For the 6-Month period ended 31-3-2004 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit / (Loss) before taxation and extraordinary items	8,895,680	(6,698,644)
ADJUSTMENTS FOR		
Depreciation	6,566,896	3,238,823
Interest and Financial Charges	2,107,605	777,421
Excess Provision Written back	(996,756)	(145,681)
Net Loss on sale of Assets	594,355	12,744
Foreign Exchange fluctuation	(1,670,755)	2,063,184
Miscellaneous Expenditure Written off	183,352	91,676
Bad Debts Written Off	50,070	—
Interest Income	(1,163,246)	(881,231)
	<u>5,671,521</u>	<u>5,156,936</u>
	14,567,201	(1,541,708)
Operating Profit before Working Capital changes		
ADJUSTMENTS FOR		
Trade and other receivables	(17,040,347)	(17,669,316)
Trade Payables	(1,264,348)	1,396,243
	<u>(18,304,695)</u>	<u>(16,273,073)</u>
Cash generated from Operations	(3,737,495)	(17,814,781)
Foreign Exchange fluctuation	1,670,755	(2,063,184)
Income Taxes Paid	—	(459,851)
	<u>1,670,755</u>	<u>(2,523,035)</u>
Net Cash from operating activities (A)	(2,066,739)	(20,337,816)
CASH FLOW FROM INVESTING ACTIVITIES		
Fixed Assets - Sold	75,506	2,501
Fixed Assets - Purchased	(4,220,257)	(1,483,683)
Dividend Payout and Corporate Tax Paid	(1,707)	(674)
Interest received	1,558,950	777,676
	<u>(2,587,508)</u>	<u>(704,180)</u>
Net cash used in investing activities (B)	(2,587,508)	(704,180)
CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from :		
Interest Paid	(2,107,605)	(777,421)
Increase/(Decrease) in Secured Loan	(458,589)	13,166,143
	<u>(2,566,194)</u>	<u>12,388,722</u>
Net cash used in Financing activities (C)	(2,566,194)	12,388,722
Net Increase / (Decrease) in cash (A+B+C)	(7,220,441)	(8,653,274)
Cash and Bank Balance as on 1.4.2004 (Opening Balance)	30,667,610	39,320,884
Cash and Bank Balance as on 31.3.2005 (Closing Balance)	23,447,169	30,667,610

Note

- The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI
- Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs 183,749/ and Fixed Deposits of Rs. 20,000,000 pledged for secured loans, which are not available for use by the Company.

As per our report of even date attached

For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

K. V. Aiyappan
Chairman

M. G. Ved
Director
Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

BALANCE SHEET ABSTRACT & COMPANY'S GENERAL BUSINESS PROFILE AS PER SCHEDULE VI, PART - (IV) OF THE COMPANIES ACT, 1956

I. REGISTRATION DETAILS

Registration No.	11-62649 of 1991
State Code	11
Balance Sheet Date	31.03.2005

(Amount in Rs. Thousands)

II. CAPITAL RAISED DURING THE YEAR

Public Issue	NIL
Rights Issue ** **-> includes premium	NIL
Bonus Issue	NIL
Private Placement ** **-> includes premium	NIL

III. POSITION OF MOBILISATION AND DEPLOYMENT OF FUNDS

Total Liabilities	238,548
Total Assets	238,548

SOURCES OF FUNDS

Paid up Capital	97,256
Reserve & Surplus	100,966
Secured Loans	19,836
Unsecured Loans	NIL

APPLICATION OF FUNDS

Net Fixed Assets	37,025
Investments	57,596
Net Current Assets	123,222
Misc Expenditure	214
Accumulated Losses	NIL

IV PERFORMANCE OF THE COMPANY

Turnover	119,707
Total Expenditure	110,811
Profit Before Tax	8,896
Profit after Tax	8,476
Earnings per Share (Rs.)	0.87
Dividend Rate	6%

V. GENERIC NAME OF PRINCIPAL PRODUCTS/SERVICES OF THE COMPANY

Item Code (ITC Code)	8524
Product Description	Computer Software

For and on behalf of the Board

K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

Bangalore, June 1, 2005

AUDITORS' REPORT TO THE BOARD OF DIRECTORS ON THE CONSOLIDATED FINANCIAL STATEMENT OF MINDTECK (INDIA) LIMITED AND ITS SUBSIDIARIES

1. We have examined the attached consolidated balance sheet of MINDTECK (INDIA) LIMITED and its subsidiaries as at 31st March 2005, also the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Mindteck (India) Limited's Management and have been prepared by the Management on the basis of separate financial statements and other financial information regarding components. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by Management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. We did not audit the financial statements of subsidiaries, whose financial statements reflect total assets of Rs. 85,380,065 as at 31st March 2005 and total revenues of Rs. 240,813,873 for the year then ended. These financial statements have been audited by other auditors whose reports have been furnished to us, and our opinion, in so far as it relates to the amounts included in respect of the subsidiaries, is based solely on the report of the other auditors.
4. We report that the consolidated financial statements have been prepared by the Company in accordance with the requirements of Accounting Standard (AS) 21, Consolidated Financial Statements, issued by the Institute of Chartered Accountants of India and on the basis of the separate audited financial statements of Mindteck (India) Limited, and its subsidiaries included in the consolidated financial statements.
5. Based on our audit and on consideration of reports of other auditors on separate financial statements/ management certification and on the other financial information of the components and to the best of our information and explanation given to us, we are of the opinion that the attached consolidated financial statements, give a true and fair view in conformity with accounting principles generally accepted in India:
 - (a) in case of the Consolidated Balance Sheet, of the state of affairs of the Mindteck (India) Limited and its subsidiaries as at 31st March 2005;
 - (b) in case of the Consolidated Profit and Loss Account, of the profit for the year that date; and
 - (c) in case of the Consolidated Cash flow Statement, of the cash flows of the year ended on that date.

For **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 1, 2005

CONSOLIDATED BALANCE SHEET AS AT MARCH 31, 2005

	Schedule	Rupees	As At 31-3-2005 Rupees	As At 31-3-2004 Rupees
SOURCES OF FUNDS				
SHAREHOLDERS' FUNDS				
Share Capital	1		97,255,640	97,255,640
Reserves & Surplus	2		106,194,855	106,056,464
			<u>203,450,495</u>	<u>203,312,104</u>
Capital Reserve Arising on Consolidation			47,584,783	47,584,783
LOAN FUNDS				
Secured Loans	3		27,300,718	43,376,106
TOTAL			<u>278,335,996</u>	<u>294,272,993</u>
APPLICATION OF FUNDS				
FIXED ASSETS				
Gross Block	4	83,187,062		82,222,112
Less : Depreciation		<u>38,477,961</u>		<u>33,357,854</u>
Net Block			44,709,101	48,864,258
Capital Work in Progress (at cost)			<u>251,427</u>	<u>111,729</u>
			44,960,528	48,975,987
CURRENT ASSETS, LOANS AND ADVANCES				
Interest Accrued but not Due		302,891		698,594
Sundry Debtors	5	132,460,696		122,686,304
Cash & Bank Balances	6	24,870,348		35,345,614
Loans & Advances	7	<u>58,504,726</u>		<u>59,960,692</u>
			216,138,661	218,691,204
LESS : CURRENT LIABILITIES AND PROVISIONS				
Current Liabilities	8	42,269,729		45,485,643
Provisions		<u>11,503,990</u>		<u>6,589,850</u>
			53,773,719	52,075,493
NET CURRENTS ASSETS			<u>162,364,942</u>	<u>166,615,711</u>
MISCELLANEOUS EXPENDITURE				
Debit Balance in Profit & Loss Account	9		213,911	397,263
			<u>70,796,615</u>	<u>78,284,032</u>
TOTAL			<u>278,335,996</u>	<u>294,272,993</u>
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS				
	15			

The schedules referred to above form an integral part of the accounts

As per our report of even date attached
For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

For and on behalf of the Board
K. V. Aiyappan
Chairman

M. G. Ved
Director
Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

CONSOLIDATED PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2005

	Schedule	Rupees	Year ended 31-3-2005 Rupees	6-Month Period ended 31-3-2004 Rupees
INCOME				
Income from Operations	10		346,830,791	176,392,625
Other Income	11		4,858,634	1,060,235
TOTAL			351,689,425	177,452,860
EXPENDITURE				
Manpower Costs	12	263,805,881		138,947,263
Operating and Administration Expenses	13	60,824,884		37,059,657
			324,630,765	176,006,920
Financial Charges	14		4,369,974	2,114,661
Depreciation	4		7,551,957	3,968,963
Deferred Revenue Expenses Written off			183,352	91,676
Exchange Conversion Difference			(143,399)	1,779,005
TOTAL			336,592,649	183,961,225
Profit/(Loss) before Taxation			15,096,776	(6,508,365)
Taxation				
- Current tax			817,224	-
- Taxes Paid in USA			--	459,851
- Deferred Taxes			--	170,538
Profit/(Loss) after Taxation			14,279,552	(7,138,754)
Surplus/(Deficit) brought forward from previous year			(78,422,423)	(71,283,669)
Balance in General Reserve as per Contra			--	138,391
Balance Available for Appropriation			(64,142,871)	(78,284,032)
Appropriation :				
Proposed Dividend @ 6%			5,835,338	
Corporate Dividend Tax			818,406	-
Balance Carried to Balance Sheet			(70,796,615)	(78,284,032)
			(64,142,871)	(78,284,032)
Basic and Diluted Earning Per Share				
- Profit for the year/period			14,279,552	(7,138,754)
- Weighted average number of equity shares			9,725,564	9,725,564
- Basic and Diluted Earnings per Share of Equity Share of Rs. 10 each			1.47	(0.73)

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS 15

The schedules referred to above form an integral part of the accounts

As per our report of even date attached
For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

For and on behalf of the Board

K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

Schedules annexed and forming part of the Consolidated Balance Sheet

	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
SCHEDULE - 1		
SHARE CAPITAL		
AUTHORISED		
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each	150,000,000	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each	50,000,000	50,000,000
TOTAL	<u>200,000,000</u>	<u>200,000,000</u>
ISSUED, SUBSCRIBED AND PAID UP		
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up Of the above,	97,255,640	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation		
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are allotted as fully paid up for Consideration other than cash		
3 a. 7,377,257 Equity shares (Previous Year 7,397,257) are held by Embtech Holding Limited, Marutius the holding company		
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust		
TOTAL	<u>97,255,640</u>	<u>97,255,640</u>
SCHEDULE - 2		
RESERVES & SURPLUS		
Capital Reserve		
Opening Balance	42,602,609	42,602,609
	<u>42,602,609</u>	<u>42,602,609</u>
Securities Premium		
Opening Balance	63,092,246	63,092,246
	<u>63,092,246</u>	<u>63,092,246</u>
General Reserve		
Opening Balance	500,000	361,609
	<u>500,000</u>	<u>361,609</u>
TOTAL	<u>106,194,855</u>	<u>106,056,464</u>

Schedules annexed and forming part of the Consolidated Balance Sheet

SCHEDULE - 3

SECURED LOANS

Cash Credit Facilities from Scheduled Banks
(Secured against Fixed Deposits aggregating Rs 20,000,000/-
{P Y Rs 10,000,000/-} with UTI Bank Ltd and a first charge
on Building at Kolkatta and Book Debts of the Company)

TOTAL

As at
31-3-2005
Rupees

As at
31-3-2004
Rupees

27,300,718

43,376,106

27,300,718

43,376,106

SCHEDULE - 4

CONSOLIDATED FIXED ASSETS

ASSETS	GROSS BLOCK (AT COST)				DEPRECIATION				NET BLOCK		
	As at 01.04.2004	Additions during the period	Deletions	As at 31.03.2005	As at 01.04.2004	Additions during the period	Deletions	As at 31.03.2005	As at 31.03.2005	As at 31.03.2004	
GOODWILL	14,114,595			14,114,595	–	–	–	–	14,114,595	14,114,595	
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	43,408,950	3,501,348	2,597,495	44,312,803	26,673,127	6,215,943	2,219,900	30,669,170	13,643,633	16,735,823	
OFFICE EQUIPMENTS	4,117,891	483,248	168,329	4,432,810	1,239,206	197,143	40,111	1,396,238	3,036,572	2,878,685	
FURNITURE & FIXTURES	9,553,140	94,057	376,879	9,270,318	4,381,965	911,969	171,839	5,122,095	4,148,223	5,171,175	
VEHICLES	501,787	–		501,787	98,735	47,670		146,405	355,382	403,052	
OTHER EQUIPMENTS	369,229	29,000		398,229	127,286	13,681		140,967	257,262	241,943	
LEASE HOLDINGS	10,156,520	–		10,156,520	837,535	165,551		1,003,086	9,153,434	9,318,985	
	82,222,112	4,107,653	3,142,703	83,187,062	33,357,854	75,51,957	2,431,850	38,477,961	44,709,101	48,864,258	
PREVIOUS YEAR	81,008,415	1,371,953	158,256	82,222,112	29,490,693	3,968,963	101,802	33,357,854	48,864,258		

As at
31-3-2005
Rupees

As at
31-3-2004
Rupees

3,216,092

271,489

275,000

275,000

131,631,832

122,414,815

135,122,924

122,961,304

(2,662,228)

(275,000)

132,460,696

122,686,304

SCHEDULE - 5

SUNDRY DEBTORS

(Unsecured)

A Debts Outstanding for a period exceeding six months

Considered good

Considered doubtful

B Others Debts

Less: Provision For Doubtful Debts

TOTAL

Schedules annexed and forming part of the Consolidated Balance Sheet

	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
SCHEDULE - 6		
CASH AND BANK BALANCES		
Cash on Hand	245,546	234,236
Balances with Scheduled Banks:		
In Current Accounts	4,619,802	7,341,854
In Deposit Accounts	20,005,000	27,769,524
(Pledged for margin money Rs. 1,60,543/- (Previous Year Rs. 1,60,543/-) with Banks and Government Authorities)		
TOTAL	24,870,348	35,345,614
SCHEDULE - 7		
LOANS AND ADVANCES		
(Unsecured, considered Good, unless otherwise stated)		
Advances recoverable in cash or kind or for value to be received		
Mindteck Employees Welfare Trust [Note B 2]	40,113,982	40,113,982
Advance to Staff	2,726,877	4,314,402
Advance to Suppliers/others	28,687	385,972
Prepaid Expenses	1,628,554	845,788
Advance Income Tax and Tax deducted at source	2,904,954	3,510,824
Deposits - with Government Bodies	432,102	436,120
Deposits - Others	10,669,570	10,353,604
TOTAL	58,504,726	59,960,692
SCHEDULE - 8		
CURRENT LIABILITIES AND PROVISIONS		
Current Liabilities		
Sundry Creditors - Capital	338,000	—
Sundry Creditors - Others	32,707,119	34,364,884
Deposits	828,200	—
Due to Related Parties	163,565	162,224
Unclaimed Dividends	183,749	185,456
Share Application Refund Account	6,575	6,575
Others Liabilities	8,042,521	10,766,504
	42,269,729	45,485,643

Schedules annexed and forming part of the Consolidated Balance Sheet

	As at 31-3-2005 Rupees	As at 31-3-2004 Rupees
Provisions		
Provision for Leave Encashment	3,158,964	5,318,568
Provision for Taxation	1,691,282	1,271,282
Proposed Dividend	5,835,338	–
Provision for Corporate Dividend Tax	818,406	–
	11,503,990	6,589,850
TOTAL	53,773,719	52,075,493
SCHEDULE - 9		
MISCELLANEOUS EXPENDITURE		
[To the extent not written off or adjusted]		
Opening Balance/Amalgamation Expenses during the year	397,263	488,939
Less : Written/Amortised off during the year	183,352	91,676
[Note A (xii)]		
TOTAL	213,911	397,263

Schedules annexed to and forming part of the Consolidated Profit & Loss Account

	Year ended 31-3-2005 Rupees	6-Month period ended 31-3-2004 Rupees
SCHEDULE - 10		
INCOME FROM OPERATIONS		
Income from Software Services	346,830,791	176,392,625
TOTAL	346,830,791	176,392,625
SCHEDULE - 11		
OTHER INCOME		
Interest from banks (Gross)	1,121,354	898,464
(Total tax deducted at source Rs. 218,991/- Previous Year Rs.422,928/-)		
Interest on Income Tax Refund	120,364	–
Miscellaneous Income	259,253	16,090
Provision no longer required written back	996,756	145,681
Rent received	690,152	–
Exchange fluctuation	1,670,755	–
TOTAL	4,858,634	1,060,235
GRAND TOTAL	351,689,425	177,452,860

Schedules annexed to and forming part of the Consolidated Profit & Loss Account

	Year ended 31-3-2005 Rupees	6-Month period ended 31-3-2004 Rupees
SCHEDULE - 12		
MANPOWER COSTS		
Salaries and Allowances	257,518,516	136,353,959
Company's Contribution to Provident and Other Funds	2,956,407	1,104,855
Staff Welfare Expenses	911,913	726,978
Consultancy Charges	2,419,045	761,471
TOTAL	<u>263,805,881</u>	<u>138,947,263</u>
SCHEDULE - 13		
OPERATING & ADMINISTRATION EXPENSES		
Rent [Note B 7]	13,907,258	6,746,610
Leasing and Hiring charges	850,155	1,322,225
Rates & Taxes	771,455	1,137,887
Insurance Premium	13,519,095	8,214,221
Telephone, Telex and Postage	5,686,377	2,989,893
Electricity	2,698,713	1,133,872
Travelling Expenses	5,985,566	6,902,492
Repairs and Maintenance	—	—
- Buildings	—	—
- Computer	710,658	368,920
- Others	742,541	320,571
Professional Charges	8,171,320	1,547,682
Remuneration to Non Executive Directors	217,264	34,946
Remuneration to Auditors	668,645	637,511
Printing & Stationery	575,632	407,628
Service Charges	—	176,960
Miscellaneous Expenses	3,010,113	2,112,208
Membership & Subscription	992,101	252,330
Recruitment Expenses	1,673,565	638,594
Loss on Sale/Discarded Fixed Asset	594,355	51,923
Foreign Exchange Fluctuation (Net)	—	2,063,184
Bad Debts Written Off	50,070	—
TOTAL	<u>60,824,884</u>	<u>37,059,657</u>

Schedules annexed to and forming part of the Consolidated Profit & Loss Account

	Year ended 31-03-2005 Rupees	6-Month period ended 31-03-2004 Rupees
SCHEDULE - 14		
FINANCIAL CHARGES		
Interest		
On Cash Credit	3,301,254	1,773,826
Bank Charges	1,068,720	340,835
TOTAL	4,369,974	2,114,661

SCHEDULE – 15

ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FORMING PART OF THE CONSOLIDATED BALANCE SHEET AND PROFIT AND LOSS ACCOUNT

A. SIGNIFICANT ACCOUNTING POLICIES

i) BASIS OF ACCOUNTING/BASIS OF PREPARATION OF FINANCIAL STATEMENT:

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with generally accepted accounting principles (GAAP) except for the revaluation of certain fixed assets, and in compliance with the Accounting Standards referred to in Section 211(3C) and other requirements of the Companies Act, 1956.

The preparation of financial statements in conformity with GAAP requires that the management of the company makes estimates and assumptions that affect the reported amounts of income and expenses of the period, the reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Examples of such estimates include the useful lives of fixed assets, provision of doubtful debts/ advances, future obligations in respect of retirement benefit plans etc., Actual results could differ from these estimates

The accounts of the foreign subsidiaries have been prepared in compliance with the local laws and applicable Accounting Standards.

ii) PRINCIPLES OF CONSOLIDATION:

The consolidated financial statements comprise the financial statements of Mindteck (India) Limited (“the Company”) and its subsidiaries being foreign companies; (a) Mindteck Consulting Inc., USA (“MCI”) (formerly known as Nicco Infotec Inc., USA); (b) Mindteck Systems Inc., USA (“MSI”) (formerly known as Hinditron Systems Inc., USA).

Infotech Holdings Inc, (“IHI”) the wholly owned subsidiary of Mindteck (India) ltd. has been merged with MCI on 31st October 2002.

The financial statements have been consolidated on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses, after eliminating intra-group balances and the unrealized profits/losses on intra-group transactions.

Mindteck Systems Inc USA has decided to discontinue operations and therefore the carrying cost in the books of the parent company has been fully provided for.

iii) REPORTING DATES OF SUBSIDIARY FOR CONSOLIDATION:

For the purpose of preparing these statements the financials of the parent and its subsidiaries Mindteck Consulting Inc & Mindteck Systems Inc for the period 1st April 2004 to 31st March 2005 is considered.

iv) USE OF ESTIMATES:

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

v) REVENUE RECOGNITION:

Software Development Service revenue on time and material contracts are recognized as per the terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

vi) FIXED ASSETS:

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest /Hire charges.

vii) BORROWING COSTS:

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

viii) DEPRECIATION:**Indian Company:**

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

- (a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.
- (b) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

Foreign Companies:

Depreciation has been provided by the foreign companies on methods and at the rates required/permissible by the local laws so as to write off the assets over their useful lives.

ix) INVESTMENTS:

Long-term investments are carried at cost, and provision is made to recognise any decline, other than temporary, in the value of such investment.

x) RETIREMENT BENEFITS:**Indian Company:**

- (a) Contribution in respect of Provident Fund is paid to the Provident Fund commissioner in accordance with the rules made under the Employees Provident Fund Act and charged against revenue.
- (b) Contributions in respect of Gratuity for the period is made on actuarial basis and paid to Group Gratuity Trust, which has taken Group Gratuity policies with Life Insurance Corporation of India.
- (c) Leave Encashment has been provided on actuarial basis.

Foreign Companies:

Foreign Companies provide for retirement benefits in accordance with the applicable local laws.

xi) FOREIGN CURRENCY TRANSACTIONS:

Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognised in the Profit and Loss Account.

Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortised as expense or income over the life of the contract. Exchange differences on such contracts are recognised in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or as expense for the year.

Foreign currency current assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition of Fixed Assets which are adjusted in cost of assets).

Foreign Currency transactions at US office are translated into rupees at various exchange rates as under:

- i. Fixed assets at the rates prevailing on transaction date.
- ii. Income and Expenditure at the average rate of exchange.
- iii. Current Assets and Current Liabilities at the exchange rates prevailing on the Balance Sheet date.

xii) MISCELLANEOUS EXPENDITURE:

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortised over a period of 5 years.

xiii) LEASES:

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss account on accrual basis.

xiv) INCOME TAX:**Indian Company:**

Income tax expense includes Indian and international income taxes. Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses and depreciation are recognised only to the extent there is virtual certainty that the same can be realised in future and in respect of other items where there is reasonable certainty as to realisation.

Foreign Companies:

Foreign companies recognize tax liabilities and assets in accordance with the applicable local laws.

xv) EMPLOYEES SHARE INCENTIVE SCHEME:

The company has introduced a share incentive scheme for the benefit of its employees. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These share are being distributed amongst

the Company's employees, based on the recommendations made by the Company's Appraisal Committee. Based on legal opinion, the aforesaid incentive scheme do not attract the provisions of the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999.

xvi) GOODWILL / CAPITAL RESERVE:

Goodwill represents the difference between the Group's share in the net worth of a subsidiary and the cost of acquisition at each point of time of making the investment in the subsidiary. Negative goodwill is shown separately as Capital Reserves on Consolidation. Goodwill arising on consolidation is not amortized.

Foreign Companies:

Goodwill represents the consideration paid by MCI for acquisition of client relationship and employees from Microstaff LLC. MCI has completed the impairment test for the above goodwill and has not recorded any goodwill impairment charge for the year ended March 31, 2005.

xvii) CASH FLOW STATEMENT:

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the ICAI.

xix) PROVISIONS:

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

B. NOTES ON ACCOUNTS

1. CONTINGENT LIABILITIES & COMMITMENTS:

- (a) Contingent Liabilities not provided for: Rs. 420,000/- (Previous Period Rs. 420,000/-) In respect of Guarantees given by bank on behalf of Company.
- (b) Claims against the company not acknowledged as debt Rs 311,786/- (Previous period Nil).
- (c) Disputed Income Tax Demands Rs 13,419,686/- (Previous period Nil).

2. Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs. 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is guaranteed by an intermediary holding company.

3. In the opinion of the Board of Directors, Current Assets, Loans and Advances have a value on realisation, in the ordinary course of business, at least equal to the amount at which they are stated in the Balance Sheet, except where otherwise indicated.

4. Secured Loans of MCI (Foreign Subsidiary):

The Company has a term loan with a bank expiring on June 30, 2005. Interest on advances is charged at bank's prime plus 4.5%. Borrowings under the agreement are collateralized by substantially all the Company's assets and corporate guarantee from a related party. As of March 31, 2005 the outstanding balance was Rs.7,464,700/- (USD 170,000/-). As of March 31, 2005, the Company is not in compliance of certain loan covenants.

The Company has entered into forbearance agreement with the bank. Under the forbearance agreement the Company has, in addition to other general conditions, agreed to the payment plan for the repayment of the outstanding balance, not to further draw on the line of credit, offered the corporate guarantee of a related party and compliance to certain financial covenants related to stockholders' equity and EBIT ratio to interest expenses and principal payment. In consideration of the above terms, the bank has further agreed to forbear from taking any actions to accelerate the loan or exercise its rights and remedies until the earlier of June 30, 2005 or the occurrence of event of default.

5. DEFERRED TAX:

The parents company's timing difference relating mainly to depreciation and unabsorbed losses up to the period ended 31st March 2005 results in Net Deferred Asset. As a measure of prudence the Net Deferred Asset relating to the above periods have not been recognized in the accounts keeping in view of the exemption available under section 10A of the Income Tax Act 1961 and in accordance to AS-22 "Accounting of Taxes Income"

The Subsidiary Company has adopted Financial Accounting Standard No. 109 which requires the recognition of deferred tax liabilities and assets for the expected future tax consequences of events that have been included in the financial statement or tax returns. Under this method, deferred tax liabilities and assets are determined based on the difference between financial statements and tax bases of assets and liabilities using enacted tax rates in effect for the year in which the differences are expected to reverse. Temporary differences between taxable income reported for financial reporting purposes and income tax purposes are insignificant.

At March 31, 2005, the Subsidiary Company has available for federal income tax purposes a net operating loss carry forward of approximately Rs 87,885,000/-, expiring in the year 2025 that may be used to offset future taxable income. The subsidiary company has provided a valuation reserve against the full amount of the net operating loss benefit, since in the opinion of management based upon the earnings history of the Company, it is more likely than not that the benefits will not be realized.

Components of deferred tax assets as of March 31,2005 are as follows:

Non current: net operating loss carry forward	87,885,000
Valuation Allowance	87,885,000
Net Deferred Tax Asset	<u> -</u>

6. REMUNERATION TO MANAGERIAL PERSON OF HOLDING COMPANY:

A: To MANAGER

	1-4-2004 to 31-3-2005	12-1-2004 to 31-3-2004
Salary and Allowances	3,074,409	586,494
Contribution to Provident Fund (& others)	121,500	24,997
Perquisites	65,767	4,761
	<u>3,261,676</u>	<u>616,252</u>

The above remuneration has been approved by the Central Government.

B: TO NON EXECUTIVE DIRECTOR

	1-4-2004 to 31-3-2005	29-1-2004 to 31-3-2004
Remuneration to Non-Executive Directors	217,264	34,946
	217,264	34,946

The above remuneration includes Rs. 52,210/- payable which is subject to the approval from the Shareholders and the Central Government.

7. LEASES:

Operating Leases

Operational Leases are charged to revenue.

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal operation with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows :

	As at 31-3-2005 Rs.	As at 31-3-2004 Rs.
(I) Not later than one year	9,824,206	8,602,619
(ii) later than one year and not later than three years	889,497	3,117,382

The leases rentals (including maintenance cost of Rs 24,000 /-)[Previous Period Rs. 24,000/-] recognized in the accounts for the year is Rs. 13,774,490/-[Previous Period Rs 6,231,324/-].

8. RELATED PARTIES:

Details of Related parties where controls exists is as under:

(a) Holding Company

- Transcompany Limited – Ultimate Holding Company
- Vanguard Investments Ltd - Intermediary Holding Company
- Mindteck Holdings Ltd., - Intermediary Holding Company
- Business Holdings Ltd, - Intermediary Holding Company
- Garrington Investments Ltd, - Intermediary Holding Company
- Embtech Holdings Ltd, - Holding Company

(b) Fellow Subsidiaries

- Mindteck USA Inc.,
- Mindteck UK Ltd
- Mindteck Singapore Pte Ltd
- Mindteck Kabushiki Kaisha
- Mindteck Middle East WLL
- Syncsoft Inc
- Infotech Ventures Ltd, BVI

(c) Key Managerial Personnel

- P. A. Ananthanarayanan - Manager

(d) Transactions with Related Parties:

(Amount in Rs.)

Transactions With Related Parties	Fellow Subsidiaries		Key Management Personnel		Holding Company		Total	
	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04	Year ended 31.03.05	6-month period ended 31.03.04
Sales	98,058,694	43,881,410	–	–	–	53,850	98,058,694	43,935,260
Expenses/Reimbursement of Exp	231,076	14,515,393	–	–	–	–	231,076	14,515,393
Managerial Remuneration	–	–	3,261,676	651,198	–	–	3,261,676	651,198
Balance Outstanding;								
Due from	87,981,581	81,713,444	–	–	–	43,080	87,981,581	81,756,524
Due to	158,805	2,841,694	–	–	15,368,500	15,242,500	15,527,305	18,084,194

9. SEGMENT REPORTING:

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on “Segment Reporting” issued by The Institute of Chartered Accountants of India. Geographical Segments constitutes the Secondary Segment of the Company

The Details of secondary segment of the company is as follows :

	31-3-2005 (12 months) Rs.	31-3-2004 (6 months) Rs.
Revenue		
- USA	332,397,304	166,199,374
- Others	14,433,487	10,193,251
	<u>346,830,791</u>	<u>176,392,625</u>

10. During the previous year, Leave encashment payable was provided on actual basis for the unavailed leave credit outstanding on account of each employee, which has now been provided on the basis of actuarial valuation. Consequent to this change, the Company’s profit in the current year is higher by Rs 233,665/.

11. The details of provisions under AS 29 are as under :

Sl No.	Nature of Expense	Expected period of outflow	Opening Balance as on 1.4.2004	Additions	Utilised reversal	Closing Balance as on 31.3.2005
1	Leave Encashment	–	1,494,055	699,593	564,355	1,629,293

12. Current Period figures reflect operations for 12 months period, while the previous periods figures reflect operations for 6 months and hence are not comparable.

Previous Periods figures have been regrouped/reclassified to conform with the current grouping/classification.

Signature to Schedule 1 to 15

As per our report of even date attached
For **Deloitte Haskins & Sells**
Chartered Accountants

For and on behalf of the Board
K. V. Aiyappan
Chairman

P. A. Ananthanarayanan
Manager & Chief Financial Officer

S. Ganesh
Partner

M. G. Ved
Director

P. Vidya Sagar
Company Secretary

Satish Menon
Director

A. P. Rao
General Manager-Finance & Administration

Bangalore
June 1, 2005

Bangalore
June 1, 2005

CONSOLIDATED CASH FLOW STATEMENT

	For the Year ended 31-3-2005 Rupees	For the 6-Month period ended 31-3-2004 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit / (Loss) before taxation and extraordinary items	15,096,776	(6,508,365)
ADJUSTMENTS FOR		
Depreciation	7,551,957	3,968,963
Exchange Difference on conversion	(143,399)	1,779,005
Interest and Financial Charges	4,369,974	2,114,661
Excess Provision Written back	(996,756)	(145,681)
Net Loss on sale of Assets	594,355	51,923
Foreign Exchange fluctuation	1,670,755	2,063,184
Miscellaneous Expenditure Written off	183,352	91,676
Bad Debts Written Off	50,070	—
Miscellaneous Income	—	(16,090)
Interest Income	(1,241,716)	(898,464)
	12,038,593	9,009,177
	27,135,369	2,500,812
Operating Profit before Working Capital changes		
ADJUSTMENTS FOR		
Trade and other receivables	(8,368,496)	(13,713,524)
Trade Payables	(4,377,057)	6,823,790
	(12,745,553)	(6,889,734)
	14,389,816	(4,388,922)
Cash generated from Operations		
Foreign Exchange fluctuation	(1,670,755)	(2,063,184)
Income Taxes Paid	(397,224)	—
	(2,067,979)	(2,063,184)
Net Cash from operating activities	12,321,837	(6,452,106)
CASH FLOW FROM INVESTING ACTIVITIES		
Fixed Assets - Sold	(162,897)	4,532
Fixed Assets - Purchased	(3,967,955)	(1,483,683)
Dividend Payout and Corporate Tax Paid	(1,707)	(674)
Exchange Difference on conversion	143,399	(1,779,005)
Interest received	1,637,421	898,464
	(2,351,739)	(2,360,366)
Net cash used in investing activities	(2,351,739)	(2,360,366)
CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from :		
Interest Paid	(4,369,974)	(2,114,661)
Short Term Borrowings	(16,075,390)	2,014,892
Increase in Share Premium (Net)	—	—
Net cash used in Financing activities	(20,445,364)	(99,769)
Net Increase / (Decrease) in cash	(10,475,266)	(8,912,241)
Cash and Bank Balance as on 1.4.2004 (Opening Balance)	35,345,614	44,257,855
Cash and Bank Balance as on 31.3.2005 (Closing Balance)	24,870,348	35,345,614

Note

- The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI
- Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs 183,749/ and Fixed Deposits of Rs. 20,000,000 pledged for secured loans, of the parent company which are not available for use by the Company.

As per our report of even date attached

For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

Bangalore
June 1, 2005

K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

**STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956
RELATING TO SUBSIDIARY COMPANY**

1	Name of the Subsidiary	: Mindteck Systems Inc. (Formerly Hinditron International Inc.)	Mindteck Consulting Inc.
2	Financial year of the subsidiary ended on	: 31st March 2005	31st March 2005
3	Date from which it became a subsidiary	: 13th April, 1994	1st July 2001
4	Shares of the Subsidiary held by the Company on the above date		
	a) Number and Face Value	: 1,600 Shares at no Par Value at \$ 100 each	432 Shares at no Par Value at \$5000 each
	b) Extent of Holding	: 100%	100%
5	Net aggregate amount of profits/(losses) of the subsidiary for the above financial year of the subsidiary so far as they concern members of the Company		
	a) dealt with in the accounts of the Company for the period ended 31st March 2005	: NIL	NIL
	b) not dealt with in the accounts of the Company for the period ended 31st March 2005	: (\$6,854)	\$135,674
6	Net aggregate amount of profits/(losses) for the previous financial years of the subsidiary, since it became a subsidiary so far as they concern members of the Company		
	a) dealt with in the accounts of the Company for the period ended 31st March 2005	: NIL	NIL
	b) not dealt with in the accounts of the Company for the period ended 31st March 2005	: (\$417,838)	(\$2,200,525)

For and on behalf of the Board

K. V. Aiyappan
Chairman

M. G. Ved
Director

Satish Menon
Director

Bangalore
June 1, 2005

P. A. Ananthanarayanan
Manager & Chief Financial Officer

P. Vidya Sagar
Company Secretary

A. P. Rao
General Manager-Finance & Administration

SHAREHOLDERS' INFORMATION

AGM: Date, Time and Venue	Friday, July 29, 2005 at 4.00 p.m. at the Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026.
Financial Calendar	1st April, 2004 to 31st March, 2005
Book Closure dates	July 18, 2005 to July 29, 2005 (both days inclusive)
Dividend Payment Date	Within stipulated period from the date of the AGM, if declared by the members
Listing on Stock Exchanges & Stock code	The Stock Exchange, Mumbai - 517344
Registrar and Share Transfer Agents	Mondkar Computers Pvt. Ltd., Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093
Share Transfer System	The Company's Registrars and Share Transfer Agent, Mondkar Computers Pvt. Ltd., processes shares sent for transfer, transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmission, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgement.
Dematerialization of shares and liquidity	Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd.
Software Development Centres	Bangalore : Prestige Towers, No. 801-806, 8th Floor, # 99 & 100, Residency Road, Bangalore - 560 025 4th Floor, Janardhan Towers, Residency Road, Bangalore - 560 025 Kolkata : Software Technology Park, SDF Building, Module No.529 & 530, 4th Floor, Sector V, Block EP GP, Salt Lake Electronics Complex, Kolkata - 700 091
Registered office & Address for correspondence	Mindteck (India) Limited C-207, Maruti Darshan, Navghar Road, Mulund (E), Mumbai - 400 081

● Outstanding Warrants

In the rights issue made by the Company in the year 2002, 3,73,884 equity shares of Rs.10/- each for cash at a premium of Rs.15/- per share along with 3,73,884 Detachable Warrants were allotted to the successful applicants.

The warrant-holders could convert their warrants into five equity shares of Rs.50/- each within 3 years from the date of allotment i.e. April 19, 2002 by paying Rs.250/- per warrant. The Company had a call option on the warrants anytime within a period of 3 years from the date of allotment. Neither the Company nor its shareholders has exercised the call/put option respectively before expiry of the validity period of the said warrants, which have lapsed on April 18, 2005.

- **Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2005**

Month	Sensex		Share Price		Trade	
	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2004	5979.25	5599.12	12.99	10.06	19748	235749
May 2004	5772.64	4227.50	13.00	9.00	16638	178067
June 2004	5012.52	4613.94	10.00	9.26	5638	59230
July 2004	5200.85	4723.04	11.90	9.00	28171	302020
August 2004	5269.22	5022.29	11.80	9.70	62426	648439
September 2004	5638.79	5178.57	18.45	10.91	137347	1945930
October 2004	5803.82	5558.14	19.70	13.00	68069	1090136
November 2004	6248.43	5649.03	31.80	13.00	251284	5903219
December 2004	6617.15	6176.09	31.90	22.05	183937	4956558
January 2005	6696.31	6069.33	25.00	19.45	63400	1440207
February 2005	6721.08	6508.33	26.00	18.95	60464	1322657
March 2005	6954.86	6321.31	23.40	18.05	55588	1175539

- **Performance in comparison to broad-based indices such as BSE Index, BSE IT Index, etc.**

Month	Share Price (Rs.) *	BSE Index	BSE IT Index
April 2004	11.81	5655.09	1814.24
May 2004	11.00	4759.62	1784.57
June 2004	11.00	4795.46	1846.97
July 2004	10.70	5170.32	1989.68
August 2004	11.46	5192.08	2044.99
September 2004	17.99	5583.61	2197.24
October 2004	13.85	5672.27	2370.01
November 2004	23.67	6234.29	2664.62
December 2004	24.50	6602.69	2621.93
January 2005	20.15	6555.94	2570.09
February 2005	20.40	6713.86	2699.27
March 2005	19.45	6492.82	2701.35

* indicates closing price on last day of month

- **Distribution of Shareholding as on March 31, 2005**

Distribution – As on March 31, 2005				
Range	Shareholders		Shares	
No. of Shares	Numbers	% to Total	Numbers	% to Total
1 – 500	9404	95.93	603080	6.20
501 – 1000	212	2.17	170958	1.76
1001 – 2000	85	0.87	124917	1.28
2001 – 3000	40	0.41	97799	1.01
3001 – 4000	11	0.11	38267	0.39
4001 – 5000	9	0.09	41773	0.43
5001 – 10000	21	0.21	151047	1.55
10001 and above	21	0.21	8497723	87.38
Total	9803	100.00	9725564	100.00

MINDTECK CONSULTING INC.

INDEPENDENT AUDITORS' REPORT

To the Stockholder of
Mindteck Consulting Inc.

We have audited the accompanying balance sheet of **Mindteck Consulting Inc.** (wholly owned subsidiary of Mindteck (India) Limited, India, an overseas corporation) as of March 31, 2005, and the related statements of stockholder's equity, income and cash flows for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the financial statements based on our audit.

We have conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of **Mindteck Consulting Inc.** as of March 31, 2005 and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Russell Bedford Stefanou Mirchandani LLP

New York, New York

May 4, 2005.

BALANCE SHEET AS OF MARCH 31, 2005

ASSETS

Current Assets:

Cash and Cash equivalents	\$ 32,793
Accounts receivable (Note 2)	931,040
Due from related parties (Note 8)	105,532
Other current assets (Note 3)	71,614
Total Current Assets	1,140,979

Property and Equipment

(Net of Accumulated Depreciation) (Note 4)	17,255
--	--------

Due from Related Parties (Note 8)

629,324

Other Assets (Note 5)

164,050

Total

\$ 1,951,608

LIABILITIES AND STOCKHOLDER'S EQUITY

Current Liabilities:

Note payable - bank (Note 6)	\$ 170,000
Accounts payable	234,490
Due to related parties (Note 8)	457,556
Other current liabilities (Note 7)	164,210
Total Current Liabilities	1,026,256

(The accompanying notes are an integral part of these financial statements)

MINDTECK CONSULTING INC.

Commitments and Contingencies:

Stockholder's Equity:

Common Stock, \$ 5000 no par value	
Authorised shares - 1000	
Issued and outstanding shares - 432	2,160,000
Additional paid in capital	146,486
Accumulated deficit	(1,381,134)
Total Stockholder's Equity	925,352
Total	\$ 1,951,608

STATEMENT OF STOCKHOLDER'S EQUITY FOR THE YEAR ENDED MARCH 31, 2005

	Common Stock	Additional Paid-in-Capital	Accumulated Deficit
Balance at April 1, 2004	\$ 2,160,000	\$ 146,486	\$ (1,516,808)
Net Income	—	—	135,674
Balance at March 31, 2005	\$ 2,160,000	\$ 146,486	\$ (1,381,134)

STATEMENT OF INCOME FOR THE YEAR ENDED MARCH 31, 2005

		% of Revenue
Revenue	\$ 5,392,717	100.00
Cost of revenue	4,525,462	83.92
Contribution Margin	867,255	16.08
Operating Expenses		
General and administrative expenses	676,716	12.54
Financial expenses	47,826	0.89
Total Operating Expenses	724,542	13.43
Income from Operations	142,713	2.65
Other Income	1,859	0.03
Income before Provision for Income Taxes	144,572	2.68
Provision for Income taxes	8,898	0.16
Net Income	\$ 135,674	2.52

(The accompanying notes are an integral part of these financial statements)

MINDTECK CONSULTING INC.

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2005

Cash Flows from Operating Activities:

Net Income	\$ 135,674
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	20,695
Gain on sale of furniture and fixtures	(101)

Changes in Operating Assets and Liabilities:

Decrease in accounts receivable	68,950
Decrease in other current assets	10,096
Decrease in due from related parties	113,507
Decrease in accounts payable	(27,151)
Increase in due to related parties	107,556
Decrease in other current liabilities	(142,499)
Total Adjustments	151,053
Net Cash Provided by Operating Activities	286,727

Cash Flows From Financing Activities:

Payment for computer equipment	(625)
Proceeds from sale of furniture and fixtures	956
Net Cash Provided by Investing Activities	331

Cash Flows From Financing Activities:

Repayment of note's payable-bank	(360,000)
Net Cash Used in Financing Activities	(360,000)

Net Decrease in Cash and Cash Equivalents (72,942)

Cash and cash equivalents at beginning of the year: 105,735

Cash and Cash Equivalents at End of the Year \$ 32,793

Supplemental Disclosures for Cash Flow Information:

Cash paid during the year for interest	\$ 31,911
Cash paid during the year for income taxes	\$ 3,207

(The accompanying notes are an integral part of these financial statements)

NOTES TO THE FINANCIAL STATEMENTS, MARCH 31, 2005

Note 1 - Summary of Significant Accounting Policies

Mindteck Consulting Inc., (the "Company") is a New Jersey state corporation, incorporated on October 28, 1996. The Company became a wholly owned subsidiary of Mindteck (India) Limited, an overseas corporation as of October 31, 2002. The summary of significant accounting policies of the Company are presented to assist in understanding the Company's financial statements. These accounting policies conform to accounting principles generally accepted in the United States of America and have been consistently applied in the preparation of the financial statements.

MINDTECK CONSULTING INC.

(a) Change of name

The stockholder has elected to change the name of the Company to Mindteck Consulting Inc. from Nicco Infotec Inc. with effect from July 1, 2000.

(b) Business activity

The Company's primary business is to provide consultancy services to design and develop computer software and hardware for various clients in the continental United States of America.

(c) Revenue recognition

The Company recognizes revenue on time-and materials contracts as the services are performed for the clients. Revenues on fixed-price contracts are recognized using the percentage of completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost for each contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

(d) Cash and Cash equivalents

For purposes of the statement of cash flows, the Company considers all highly liquid debt instruments purchased with an original maturity of three months or less to be cash equivalents.

(e) Concentration of credit risk

The Company's cash and cash equivalents are subject to potential concentrations of credit risk, as the Company has cash deposits in excess of federally insured limits.

(f) Accounting for bad debts and allowances

Bad debts and allowances are provided based upon historical experience and management's evaluation of outstanding accounts receivable.

(g) Property and equipment

Property and equipment are stated at cost. When retired or otherwise disposed, the related carrying value and accumulated depreciation are removed from the respective accounts and the net difference less any amount realized from disposition, is reflected in earnings. The Company provides depreciation for property and equipment using the straight-line method over the estimated useful lives of the relative assets.

(h) Goodwill

Goodwill represents the consideration paid for acquisition of client relationship and employees from Microstaff LLC., (See Note 5). In July 2001, the Financial Accounting Standard Board (the "FASB") issued Statement of Financial Accounting Standards ("FAS") No 142, "Goodwill and Other Intangible Assets." FAS No 142 supercedes APB Opinion no. 17, "Intangible Assets." Goodwill is no longer amortized but tested for impairment under two step processes. Under the first step, an entity's net assets are broken down into reporting units and compared to their fair value, the second step of the goodwill impairment test is performed to measure the amount of impairment loss, if any. The second step compares the implied fair value of a reporting unit's goodwill with the carrying amount of that goodwill. If the carrying amount of the reporting unit's goodwill exceeds the implied fair value of that goodwill, an impairment loss is recognized in an amount equal to that excess. In addition, within six months of adopting the accounting standard, a transitional impairment test must be completed, and any impairment identified must be treated as cumulative effect of a change in accounting principle. The provisions of FAS No. 142 are becoming effective for the Company commencing with its 2003 fiscal period. The Company has completed its impairment test and has not recorded any goodwill impairment charge for the year ended March 31, 2005.

MINDTECK CONSULTING INC.

(i) Income taxes

The Company provides for income taxes based on pre-tax earnings reported in the financial statements. Certain items such as depreciation are recognized for tax purposes in periods other than the period they are reported in the financial statements.

Deferred income taxes are provided in accordance with Statement of Financial Accounting Standards No. 109, "Accounting for Income Taxes". Deferred income taxes are provided for accumulated temporary differences due to basis of differences for assets and liabilities for financial reporting and income tax purposes, including alternative minimum taxes. The Company's temporary differences were deemed to be immaterial.

(j) Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America, requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported revenues and expenses during the reporting period. Actual results could differ from those estimates.

Note 2 - Accounts Receivable

At March 31, accounts receivable are aged by invoice dates as follows:

Current	\$ 445,024
Past due 31-60 days	394,609
Past due 61 days and over	91,407
Total	<u>\$ 931,040</u>

Note 3 - Other Current Assets

At March 31, other current assets consist of the following :

Advances to employees	\$ 59,742
Prepaid expenses	11,872
Total	<u>\$ 71,614</u>

Note 4 - Property and Equipment

At March 31, property and equipment consist of the following:

Computer equipment	\$ 124,145
Furniture and fixtures	83,950
Office equipment	5,958
	<u>214,053</u>
Less: accumulated depreciation	<u>196,798</u>
Total	<u>\$ 17,255</u>

During the year ended March 31, the company has sold furniture & fixtures with book value of \$ 2,719 and accumulated depreciation of \$1,864 for \$ 956. This transaction has resulted in a gain on sale of furniture & fixtures of \$101.

MINDTECK CONSULTING INC.

During the year ended March 31, the Company has retired the automobile, hence cost basis and accumulated depreciation of \$ 3,000 has been removed from the books.

Note 5 - Other Assets

At March 31, other assets consist of the following:

Goodwill	\$ 150,000
Security deposits	14,050
Total	<u>\$ 164,050</u>

Note 6 - Notes Payable - Bank

The Company has a term loan with a bank expiring on June 30, 2005. Interest on advances is charged at bank's prime plus 4.5%. Borrowings under the agreement are collateralized by substantially all the Company's assets and corporate guarantee from a related party. As of March 31, the outstanding balance was \$ 170,000.

The Company has entered into forbearance agreement with the bank. Under the forbearance agreement the Company has, in addition to the other general conditions, agreed to the payment plan for the repayment of the outstanding balance, not to further draw on the line of credit, offered the corporate guarantee of a related party and compliance to certain financial covenants related to stockholders' equity and EBIT ratio to interest expenses and principal payment. In consideration of the above terms, the bank has agreed to forbear from taking any actions to accelerate the loan or exercise its rights and remedies until the earlier of June 30, 2005 or the occurrence of event of default.

Note 7 - Other Current Liabilities

At March 31, other current liabilities consist of the following:

Accrued employee compensation	\$ 125,501
Accrued expenses	38,153
Accrued payroll taxes	556
Total	<u>\$ 164,210</u>

Note 8 - Related Party Transactions

- (a) The Company has unsecured non interest bearing notes receivable from related parties, which are due on demand. As of March 31, the outstanding balance, included in due from related parties, was \$ 653,654. The Company does not anticipate to collect \$ 629,324 for next one year, hence the related not receivable have been reported as long term assets as of March 31, 2005.
- (b) The Company rendered software services to a related party. For the year ended March 31, 2005, the Company rendered software services of \$ 122,730 and incurred expenses of \$ 650,593 on its behalf. At March 31, the balance outstanding, included in due from related parties, was \$ 81,202.
- (c) The Company sources services from related parties. For the period ended March 31, 2005, the Company sourced services of \$ 197,116 and reimbursed expenses for \$ 15,489. At March 31, the outstanding balance payable, included in due to related parties, was \$ 107,556.
- (d) The Company has non-interest bearing note payable to an overseas related party. As of March 31, 2005, the outstanding balance, included in due to related parties, was \$ 350,000.

MINDTECK CONSULTING INC.

Note 9 - Economic Dependency

At March 31, consulting revenue from a major customer and consulting fee to a major vendor were concentrated as follows:

	#	Amount	%
Major customer	2	2,405,046	45
Major vendor	2	499,809	31

Note 10 - Provision for Income Taxes

At March 31, provision for income taxes consists of the following:

State and city income taxes, including prior period taxes \$ 8,898

The Company has adopted Financial Accounting Standard No. 109 which requires the recognition of deferred tax liabilities and assets for the expected future tax consequences of events that have been included in the financial statement or tax returns. Under this method, deferred tax liabilities and assets are determined based on the difference between financial statements and tax basis of assets and liabilities using enacted tax rates in effect for the year in which the differences are expected to reverse. Temporary differences between taxable income reported for financial reporting purposes and income tax purposes are insignificant.

At March 31, 2005 the Company has available for federal income tax purposes a net operating loss carry forward of approximately \$ 2,025,000, expiring in the year 2025, that may be used to offset future taxable income. The Company has provided a valuation reserve against the full amount of the net operating loss benefit, since in the opinion of management based upon the earnings history of the Company, it is more likely than not that the benefits will not be realized.

Components of deferred tax assets as of March 31, 2005 are as follows:

Non current: net operating loss carry forward	\$ 810,000
Valuation allowance	(810,000)
Net deferred tax asset	<u>\$ —</u>

Note 11- Commitments and Contingencies

The Company is contingently liable under non-cancelable operating lease for its office expiring on August 31, 2006. The rent expense for offices for the years ended March 31, was \$ 48,927.

Future minimum rental payments under these leases are as follows:

Twelve months ending:

March 31, 2006	46,853
March 31, 2007	19,926
Total	<u>\$ 66,779</u>

The Company is also obligated to pay certain real estate taxes and other expenses under these lease terms.

MINDTECK SYSTEMS INC.

INDEPENDENT AUDITORS' REPORT

To the Stockholder of Mindteck Systems Inc.

We have audited the accompanying balance sheet of **Mindteck Systems Inc.** (wholly owned subsidiary of Mindteck (India) Limited, India) as of March 31, 2005, and the related statements of stockholder's deficiency, operations and cash flows for the year then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free of material misstatement. An Audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statement. An audit also includes assessing the accounting principles used and significant estimates made by management as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion the balance sheet referred to above present fairly, in all material respects, the financial position of **Mindteck Systems Inc.** as of March 31, 2005 and the results of operations and cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

The accompanying financial statements have been prepared assuming that the Company will continue as a going concern. As discussed in Note B to the financial statements, the Company has sustained substantial operating losses and has chosen to discontinue operations. These conditions raise substantial doubt about its ability to continue as a going concern. Management's plan regarding those matters are also described in Note B, which include its plans to discontinue its operations. The financial statements do not include any adjustments that might result from the execution of these plans.

Russell Bedford Stefanou Mirchandani LLP
New York, New York
May 6, 2005.

BALANCE SHEET AS OF MARCH 31, 2005

ASSETS

Current Assets :

Cash and Cash equivalents
Total

\$ --
\$ --

LIABILITIES AND STOCKHOLDER'S DEFICIENCY

Current Liabilities :

Due to related party
Other current liabilities
Total current liabilities

\$ 11,725
4,300
16,025

Commitment and Contingencies:

Stockholder's Deficiency:

Common stock, no par value
Authorised shares - 2,000
Issued and outstanding shares - 1,600
Accumulated deficit
Total Stockholder's Deficiency
Total

160,000
(176,025)
(16,025)
\$ --

(The accompanying notes are an integral part of these financial statements)

MINDTECK SYSTEMS INC.

STATEMENT OF STOCKHOLDER'S DEFICIENCY FOR THE YEAR ENDED MARCH 31, 2005

	<u>Common Stock</u>	<u>Accumulated Deficit</u>
Balance at April 1, 2004	\$ 160,000	\$ (169,171)
Net loss	—	(6,854)
Balance at March 31, 2005	<u>\$ 160,000</u>	<u>\$ (176,025)</u>

STATEMENT OF OPERATIONS FOR THE YEAR ENDED MARCH 31, 2005

Operating Expenses :

Professional fees	\$ 4,000
Bank charges	2,854
Total Operating Expenses	<u>6,854</u>
Loss before provision for Income Taxes	(6,854)
Provision for income taxes	—
Net Loss	<u>\$ (6,854)</u>

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2005

Cash Flows from Operating Activities:

Net Loss	\$ (6,854)
Changes in Operating Assets and Liabilities:	
Increase in due to related party	4,000
Total Adjustments	<u>4,000</u>
Net Cash Used in Operating Activities	(2,854)
Net Decrease in Cash and Cash Equivalents	<u>(2,854)</u>
Cash and Cash equivalents at beginning of the year	2,854
Cash and Cash Equivalents at end of the year	<u>\$ —</u>

(The accompanying notes are an integral part of these financial statements)

NOTES TO THE FINANCIAL STATEMENTS, MARCH 31, 2005

Note A - Summary of Significant Accounting Policies

Mindteck Systems Inc., (the "Company") is an Oregon state corporation, incorporated on June 16, 1983. The Company became a wholly owned subsidiary of Mindteck India Limited, a corporation incorporated in India on July 25, 1991. The summary of significant accounting policies of the Company are presented to assist in understanding the Company's financial statements. These accounting policies conform to accounting principles generally accepted in the United States of America and have been consistently applied in the preparation of the financial statements.

MINDTECK SYSTEMS INC.

Change of name

The stockholder has elected to change the name of the Company to Mindteck Systems Inc., from Hinditron International Inc., with effect from December 16, 1999.

Business activity

The Company's primary business is supplying computer consultants to design and develop software and hardware for various clients in the continental United States.

Revenue recognition

The Company recognizes revenue on time-and-materials contracts as the services are performed for the clients. Revenues on fixed-price contracts are recognized using the percentage of completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost for each contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

Cash and cash equivalents

For purposes of the statements of cash flows, the Company considers all highly liquid debt instruments purchased with an original maturity of three months or less to be cash equivalents.

Accounting for bad debts and allowances

Bad debts and allowances are provided based upon historical experience and management's evaluation of outstanding accounts receivable.

Income taxes

The Company provides for income taxes based on pre-tax earnings reported in the financial statements. Certain items such as depreciation are recognized for tax purposes in periods other than the period they are reported in the financial statements.

Deferred income taxes are provided in accordance with Statement of Financial Accounting Standards No. 109, "*Accounting for Income Taxes*". Deferred income taxes are provided for accumulated temporary differences due to basis of differences for assets and liabilities for financial reporting and income tax purposes, including alternative minimum taxes. The Company's temporary differences consists primarily of net operating losses.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported revenues and expenses during the reporting period. Actual results could differ from those estimates.

Note B - Going Concern Uncertainty

The accompanying financial statements have been prepared in conformity with accounting principles generally accepted in the United States of America, which contemplates continuation of the Company as a going concern. However, the Company has sustained substantial operating losses in the recent years. In years prior to 2002, the Company's sole stockholder continued to fund the Company's operations. However, during the year 2002,

MINDTECK SYSTEMS INC.

the Company decided to suspend operations. The financial statements do not include any adjustments relating to the recoverability and classification of the recorded assets or the amount and classification of liabilities relating to the decision of the Company to discontinue its operations.

Note C - Due to Related Party

The Company has non interest bearing note payable to a related parties. As of March 31, 2005 the outstanding balance payable was \$ 11,725.

Note D - Deferred Taxes

The Company has adopted Financial Standard No. 109 which requires the recognition of deferred tax liabilities and assets for the expected future tax consequences of events that have been included in the financial statement or tax returns. Under this method, deferred tax liabilities and assets are determined based on the difference between financial statements and tax bases of assets and liabilities using enacted tax rates in effect for the year in which the difference are expected to reverse. Temporary differences between taxable income reported for financial reporting purposes and income tax purposes are insignificant.

On March 31, 2005, the Company has available for federal income tax purposes a net operating loss carry forward of approximately \$ 140,000 expiring in the year 2023, that may be used to offset future taxable income. The company has provided a valuation reserve against the full amount of the net operating loss benefit, since in the opinion of management based upon the earnings history of the Company, it is more likely than not that the benefits will not be realized.

Components of deferred tax assets as of March 31, 2005 are as follows:

Non current: net operating loss carry forward	\$ 58,000
Valuation allowance	(58,000)
Net deferred tax assets	\$ —

MINDTECK (INDIA) LIMITED

Registered Office: C-207, Maruti Darshan, Navghar Road, Mulund (E), Mumbai - 400 081.

PROXY FORM

I/We.....of..... in the district of being a Member/Members of the above named Company, hereby appoint Mr./Mrs..... ofin the district ofor failing him/her, Mr./Mrs..... ofin the district of..... as my/our proxy to attend and vote for me/us on my/our behalf at the Fourteenth Annual General Meeting of the Company to be held on Friday, July 29, 2005 at 4.00 p.m. at the Cultural Centre of Russia, Conference Hall, 2nd Floor, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai 400 026, and at any adjournment thereof.

Signed thisday of..... 2005.

Reg. Folio / Client ID No. :

DP ID No. :

Signature

Affix.
Re. one
Revenue
Stamp

No. of shares :

Note : The proxy form duly signed across the revenue stamp of One Rupee must reach the Company's Registered Office not less than 48 hours before the time of the meeting.

----- ✂ ----- Cut here ----- ✂ -----

MINDTECK (INDIA) LIMITED

Registered Office: C-207, Maruti Darshan, Navghar Road, Mulund (E), Mumbai - 400 081.

ATTENDANCE SLIP

PLEASE COMPLETE THIS ATTENDANCE SLIP IN ALL RESPECTS AND
HAND IT OVER AT THE ENTRANCE OF THE MEETING HALL

REGD. FOLIO NO. / CLIENT ID :

DP ID NO :

NAME :

ADDRESS :

I hereby record my presence at the Fourteenth Annual General Meeting of the Company.

Venue : The Cultural Centre of Russia, Conference Hall, 2nd Floor, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai 400 026.

Date : Friday, July 29, 2005 at 4.00 p.m.

NAME OF THE SHAREHOLDER (IN BLOCK CAPITALS)

SIGNATURE OF THE SHAREHOLDER OR PROXY

Notes :

1. A Proxy attending on behalf of the Member(s) shall write the name of the Member(s) from whom he holds Proxy.
2. Members are requested to bring their copy of the Annual Report with them to the Meeting as additional copies of the same will not be made available at the Meeting.

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Pushing the limits of possibility

If undelivered, please return to:
Regd Office: C-207, Maruti Darshan, Navghar Road,
Mulund (e), Mumbai - 400 081.

Tel: 91 22 2591 4643. Fax: 91 22 2591 4642
www.mindteck.com

